



**Management Board Activity Report
for Dino Polska S.A. and the Dino
Polska S.A. Group in 2018**

Dino Polska Spółka Akcyjna

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 December 2018 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each ("Shares").

This document contains the Management Board Report for Dino Polska S.A. ("Dino Polska", "Company", "Parent Company") on the Activity of the Dino Polska S.A. ("Group", "Dino Polska Group") in 2018 and the Management Board Report on the Parent Company's Activity. The Group includes the parent company and subsidiaries over which Dino Polska exercises total control ("Subsidiaries"). Unless specified otherwise, the data in this Report comes from Dino Polska. This document's date of publication is 14 March 2019 ("Report Date").

Whenever the term Consolidated Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2018 prepared in accordance with the International Financial Reporting Standards approved for use in the EU.

Whenever the term Company's Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2018 prepared on the basis of the Accounting Act.

Unofficial translation. Only the original Polish text is binding.

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1. LETTER FROM THE CEO OF DINO POLSKA

Dear Investors, Employees and Shareholders,

In 2018 we continued the rapid organic growth of Dino Polska and the Dino Polska Group. This was reflected in both a higher number of newly opened stores and robust financial performance. We opened 202 new stores and at the end of the year we had 977 stores. The total sales area increased by 27.3% to 375.7 thousand square meters.

Thanks to our rapid expansion we have already become a nationwide network. We see that clients have responded positively to the Dino stores opened in their neighborhood. I am confident that this stems from the attractiveness of our store format. It corresponds to the evolving trends and needs of consumers: it enables them to do their shopping quickly and in comfortable conditions at good prices close to their places of residence. It also offers a wide selection of fresh products. Concurrently, we continue to pursue our non-invasive and thrifty marketing policy. We constantly work on enhancing and diversifying the product assortment in Dino stores. We strive to surprise our clients positively by offering them new products and attractive promotions.



In 2018 we have posted marked growth in the number of purchases in our stores versus 2017, while the average ticket has simultaneously grown substantially. As a result, we have reported a 11.6% LFL revenue growth, i.e. growth in stores that existed in 2017. Combined with the new number of stores we opened in 2018, this brought a total increase in Dino Group's revenue to PLN 5.84 billion, up 31% in relation to 2017. The rising economies of scale have made it possible to enhance the profitability of the business we conduct. EBITDA shot up 35% in 2018 to PLN 541 million.

We are investing profits in ongoing development. We are opening more stores and expanding logistics functions. The total value of investments completed in 2018 was PLN 634 million, up 58% from the year before. That enabled us to create 3.4 thousand new jobs. At the end of the year, the Dino Group had 16.5 thousand employees. The main areas of investment, on top of the Dino store network roll-out, involved logistics – in 2018 we opened our fourth distribution center in Rzeszotary, in Lower Silesia, and the extension of the production capacity of the Agro-Rydzyna meat processing plant. In 2019 we will continue to follow our investment program. We estimate its value to be roughly PLN 850 million. We intend to open a larger number of stores than in 2018 and make further investments in distribution centers and production capacities.

Business conditions are conducive to our ambitious development plans. We can observe higher levels of consumption, backed up by low unemployment and the government's social programs. I expect that consumer sentiment will continue to be buoyant for at least the next few quarters, which should help us improve results further, also to maintain our LfL ratio at a high level.

Yours faithfully,

Szymon Piduch

CEO of Dino Polska S.A.

2. FINANCIAL HIGHLIGHTS

Dino Polska Group

	Year ended 31 December		Year ended 31 December	
	2018	2017	2018	2017
	PLN '000		EUR '000*	
<i>under IFRS, audited</i>				
Sales	5,838,529	4,462,835	1,368,330	1,051,390
Operating profit	429,002	303,242	100,542	71,440
Profit before tax	383,978	266,016	89,990	62,670
Net profit for the year	307,554	213,604	72,079	50,323
Basic / Diluted earnings per share (PLN, EUR)	3.14	2.18	0.74	0.51
Net cash flows from operating activities	634,455	497,204	148,692	117,135
Net cash flows from investing activities	(634,018)	(402,143)	(148,590)	(94,740)
Net cash flows from financing activities	82,298	41,137	19,288	9,691
Net increase/(decrease) in cash and cash equivalents	82,735	136,198	19,390	32,087
	As at 31 December		As at 31 December	
	2018	2017	2018	2017
	PLN '000		EUR '000**	
<i>under IFRS, audited</i>				
Total assets	3,287,690	2,451,329	764,579	587,722
Total non-current assets	2,458,378	1,807,964	571,716	433,471
Total current assets	829,312	643,365	192,863	154,251
Total equity	1,211,873	904,493	281,831	216,858
Share capital	9,804	9,804	2,280	2,351
Total long-term liabilities	693,176	575,883	161,204	138,072
Total current liabilities	1,382,641	970,953	321,544	232,792

Dino Polska

	Year ended 31 December		Year ended 31 December	
	2018	2017	2018	2017
	PLN '000		EUR '000*	
<i>under PFRS, audited</i>				
Sales	5,832,221	4,454,243	1,366,852	1,049,366
Operating profit	309,624	210,682	72,564	49,634
Profit before tax	265,563	173,445	62,238	40,862
Net profit for the year	208,558	139,158	48,878	32,784
Basic / Diluted earnings per share (PLN, EUR)	2.13	1.42	0.50	0.33
Net cash flows from operating activities	611,182	440,593	143,238	103,798
Net cash flows from investing activities	(586,967)	(339,631)	(137,563)	(80,013)
Net cash flows from financing activities	65,632	28,508	15,382	6,716
Net increase/(decrease) in cash and cash equivalents	89,847	129,470	21,057	30,502
	As at 31 December		As at 31 December	
	2018	2017	2018	2017
	PLN '000		EUR '000**	
<i>under PFRS, audited</i>				
Total assets	2,979,895	2,266,223	692,999	543,341
Total non-current assets	2,031,010	1,547,215	472,328	370,955
Total current assets	948,885	719,008	220,671	172,387
Total equity	929,970	758,624	216,272	181,885
Share capital	9,804	9,804	2,280	2,351
Total long-term liabilities	600,881	492,041	139,740	117,970
Total current liabilities	1,397,539	975,747	325,009	233,942

*Based on average annual EUR/PLN exchange rate published by the National Bank of Poland (1 EUR = 4.2669 PLN in 2018 and 1 EUR = 4.2447 PLN in 2017)

**Based on the average EUR/PLN exchange rate of the NBP as at 31.12.2018 (1 EUR = 4.3 PLN) and 31.12.2017 (1 EUR = 4.1709 PLN)

3. OPERATIONS OF DINO POLSKA AND THE GROUP

3.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

Dino's business model combines the advantages of the format provided to customers by medium-sized stores situated in convenient locations, in most cases close to their places of residence or featuring much more traffic, with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 31 December 2018, the Dino network consisted of 977 stores with a total selling area of 375,715 square meters. The Dino Group has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 466, i.e. 91.2%, in the period of three years until 31 December 2018. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in 2018 stood at 11.6% compared to 2017. The Dino Group continues to develop its network, consistently looking for sites for its new stores.

Dino's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products. Every store has a staffed meat counter.

Dino Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on four distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with the operational leverage and store network maturation effect, consistently enhance the Dino Group's profitability.

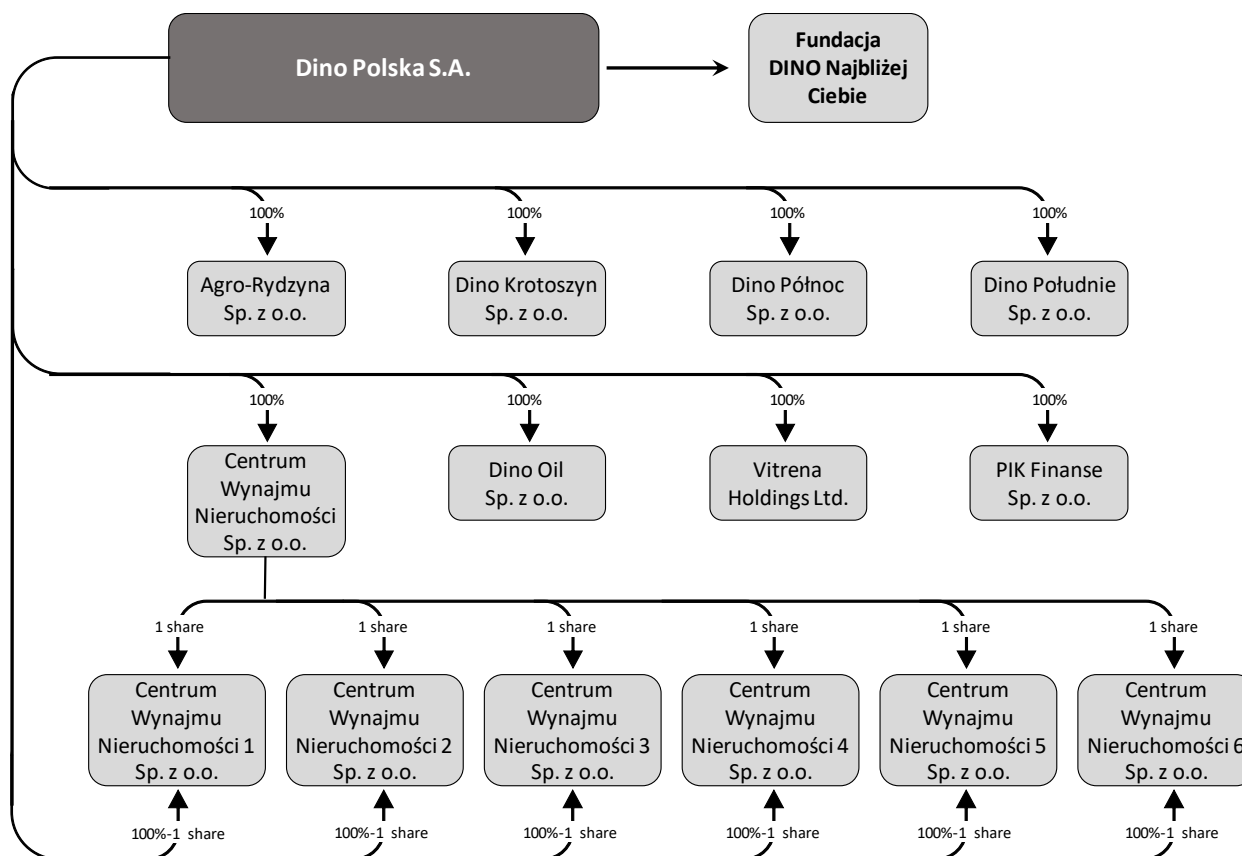
3.2. Description of the Group

Dino Polska is the parent company of the Dino Polska Group. The Company conducts the operating activity including the management of Dino store network. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Subsidiaries (Real Estate Lease Centers) execution of investment processes related to securing new sites and building new stores. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

As at 31 December 2018 and 31 December 2017, the share Dino Polska and other Dino Group entities in its subsidiaries is equal to the Group's share held in their capital.

Agro-Rydzyna sp. z o.o. runs a meat processing plant that produces cold cuts and fresh meat. Dino Krotoszyn sp. z o.o. and Dino Południe sp. z o.o. own part of the warehouse space used by the Group and they render warehouse services in favor of the Group. Dino Północ sp. z o.o., Dino Oil sp. z o.o., Vitrena Holdings Ltd. and PIK Finanse Sp. z o.o. (formerly Centrum Wynajmu Nieruchomości Marketing sp. z o.o.) did not conduct operating activity as the end of 2018.

The chart below depicts the Dino Polska Group's structure.



In 2018 the following changes of the Group's structure were made:

- (i) On 12 October 2018, District Court in Poznań issued a decision to strike the Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA w likwidacji from the register.
- (ii) On 26 October 2018, Dino acquired from its subsidiaries Agro-Rydzyna Sp. z o.o. and Centrum Wynajmu Nieruchomości Sp. z o.o. the 10% and 0.1% stakes held by them, thus becoming the sole shareholder of Pol-Food Polska Sp. z o.o.
- (iii) On 26 October 2018 the Dino Polska Management Board made a decision on the intention of merging Dino Polska with subsidiary Pol-Food Polska Sp. z o.o. in which Dino holds 100% in the share capital. The decisions on the merger were made by the shareholders of Dino Polska at the Extraordinary Shareholder Meeting on 28 November 2018. The merger transpired on 21 December 2018.

Neither Dino Polska nor any Subsidiary holds shares and interest in other entities than the ones specified on the chart above, nor does it have any financial instruments that may exert a material impact on their operations, an assessment of its assets and liabilities, financial standing and statement of profit or loss. Neither the Company nor any Subsidiary made any equity investments outside the Group in 2018. Dino Polska did not buy any treasury stock or shares in 2018 or in prior years.

Dino Polska's main investments are linked to buying property, plant and equipment in connection with the expansion of Dino's stores. They are effected in the territory of Poland only and financed with own resources earned on operations and from external sources, such as interest-bearing bank loans, bonds and financial leases.

3.3. Operating activity in 2018

The Dino Polska Group's operations are conducted in Poland. The Group runs a modern network consisting of medium-size grocery supermarkets located close to clients' place of residence. As at 31 December 2018, the Dino network consisted of 977 stores with a total selling area of 375,715 square meters.

The table below shows the number of the Dino stores and the total selling area at the end of the year in the periods specified in the table.

	As at 31 December									
	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009
Total number of stores	977	775	628	511	410	324	234	154	111	90
Sales area (thousand square meters)	376	295	238	192	151	119	81	50	32	25

Products

The Dino Polska Group sells solely in Poland. Dino offers its clients roughly 5 thousand stock keeping units (SKUs) chiefly consisting of branded and fresh products. Fresh products accounted for nearly 38% of sales revenue in 2018. Dino focuses on offering branded products to clients at competitive prices. In 2018 branded products accounted for the decisive majority of revenue (net of fresh products, including the products of the Agro-Rydzyna meat processing plant).

Product categories

The Dino Polska Group's (and Dino Polska's) major product categories include the following: (i) fresh groceries, including the meat products supplied by Agro-Rydzyna; (ii) dry grocery products, beverages, alcohol and cigarettes; and (iii) non-grocery products. These products represented 38%, 50% and 12%, respectively of revenue in 2018.

The table below shows the structure of sales revenues by product in individual periods.

	2018	2017*	2016*
Fresh food products	38	37	37
Dry grocery products, beverages, alcohol and cigarettes	50	51	51
Non-grocery products	12	12	12

* data for 2017 and 2016 were restated (more information in the section: "Factors of key significance for the financial performance and restatement of comparative data")

Fresh food products

In 2018 fresh products accounted for nearly 38% of sales revenue in the Dino Polska Group. In this category Dino's stores offer a wide array of products, including meat, poultry and cold cuts, fruit and vegetables, dairy products and bread. Fresh products are delivered to stores every day of the week except for Sundays.

The proprietary meat processing plant run by Agro-Rydzyna makes it possible to offer a wide array of meat and cold cuts in Dino stores. In 2018 fresh meat and cold cuts, as well as poultry, which Agro-Rydzyna supplies for the Group's needs, accounted for 41% of the revenue on fresh products and over 15% of the Group's entire revenue.

Dry grocery products, beverages, alcohol and cigarettes

In 2018 dry fresh products, beverages, alcohol and cigarettes accounted for over 50% of revenue in the Dino Polska Group. Most of the dry grocery products offered by the are branded FMCG products with a high level of recognition.

Non-grocery products

In 2018 non-grocery products accounted for nearly 12% of sales revenue in Dino Polska and the Dino Polska Group. These products include, among others, cleaning agents, sanitary articles and small household appliance products.

Procurement of products

The Dino Polska Group has a diversified supplier base including mostly producers and their main representatives. Dino Polska believes that on account of its size and the expansion of its operating activity it is one of the largest and fastest growing clients for many suppliers of grocery articles in Poland. The Dino Polska Group has also adopted a policy of closely cooperating with the producers of brands with a lower of recognition, to give clients a less expensive alternative to the leading brands. Private label products (with the exception of the Agro-Rydzyna products) accounted for less than 2% of sales revenue in the Dino Group in 2018 and 2017.

Suppliers

The Dino Polska Group collaborates with many suppliers from the FMCG industry. In 2018, the top 10 suppliers (excluding Agro-Rydzyna) accounted for over 16% of the Dino Polska Group's purchases, while the largest supplier from outside the Dino Polska Group accounted for less than 4% of the Dino Polska Group's purchases.

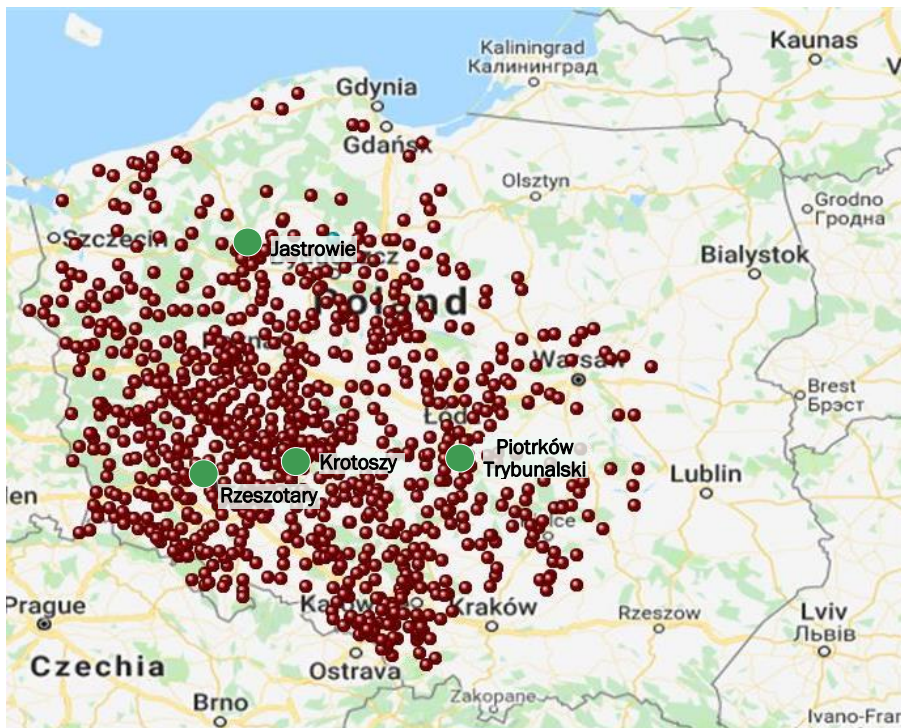
Agro-Rydzyna

Agro-Rydzyna is the sole supplier of high quality fresh meat to Dino stores and the primary supplier of cold cuts. Moreover, Agro-Rydzyna acts as a middleman in the purchase of poultry meat for the Dino stores from third party suppliers. The whole production of the meat processing plant operated by Agro-Rydzyna is sold through the Dino store network. In 2018 Agro-Rydzyna generated over 15% of sales revenue in Dino Polska and the Dino Polska Group.

Store network

As at 31 December 2018, the Dino store network consisted of 977 stores with a total selling area of 375,715 square meters.

The map pictures the store network and the Dino Polska Group's distribution centers as at 31 December 2018.



Dino stores are characterized by their uniform format. The typical Dino store is a free-standing building open from 7:00 a.m. to 10:00 p.m. Most stores have a sales floor area of approx. 400 square meters and are located on

plots with a parking lot for 10-30 vehicles. The store locations are diligently selected so that they are situated in sites with a large intensity of footfall or automobile traffic.

In 2018 the Dino Group opened 202 new stores, 37.4% more than in 2017, when 147 stores were launched.

The table below shows information on the total number of stores in the Dino Polska Group and the total selling area in the Dino Polska Group's stores.

	As at 31 December		
	2018	2017	2016
Number of new store openings	202	147	123
Total number of stores at the end of the period	977	775	628
Total selling area (m ²)	375,715	295,226	238,416
Growth of selling area y/y	27.3%	23.8%	24.4%

Warehousing and distribution

The Dino store network is supported by an efficient warehousing and distribution system managed centrally from four distribution centers and by a network of independent transportation companies.

Distribution centers

The products offered in Dino stores are distributed by four distribution centers that are capable of ensuring deliveries to a total of approx. 1,300 stores. In 2018 the Dino Group launched part of the space in the fourth distribution center located in Rzeszotary near Legnica. The total warehousing space was 148.9 thousand square meters and was 33.1% higher than at the end of 2017.

The table below shows the total area of the Dino Polska Group's distribution centers as at 31 December 2018.

	Warehouse space (thousand square meters)
Facility in Krotoszyn	50.6
Facility in Piotrków Trybunalski	29.6
Facility in Jastrowie	31.7
Facility in Rzeszotary	37.1
Total	148.9

3.4. Growth strategy

The Dino Polska Group's strategy calls for continued growth by focusing on three key areas: (i) continuation of rapid organic growth in the number of stores, (ii) continued growth in LFL sales revenue in the existing store network and (iii) consistent improvement in profitability. Dino Polska's intention is to execute its growth strategy by further utilization of the Dino Polska Group's strengths and its competitive advantages.

Continuation of rapid organic growth in the number of stores

In the strategy for 2017-2020 defined in 2016, Dino Polska's Management Board intends to increase the number of owned stores from 557 at the end of June 2016 to over 1,200 by the end of 2020. The Dino Group consistently pursues this objective, opening 123 new stores in 2016, 147 in 2017 and 202 in 2018, increasing the selling area by 24.4%, 23.8% and 27.3%, respectively. The Company's Management Board plans to open in 2019 at least the same number of stores as in 2018, which means that the short-term strategic objective pertaining to exceeding the 1,200 store target may be attained at the turn of 2019 and 2020, a year earlier than planned.

The Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores also in subsequent years. Considering the relatively small share of Dino stores in the value of the retail grocery market in Poland, the Management Board of Dino Polska plans to continue to leverage the possibility of organic growth of the network in the existing form through: (i) further increase in the penetration in the existing

areas of operations, and (ii) consistent expansion in new regions, which ultimately should have a similar penetration of Dino stores to other regions.

In the opinion of the Company's Management Board, the attainment of this goal will be supported by the potential of the Polish market, still leveraged by the Company only to a small extent, extensive experience of Dino Polska's management in selection of attractive locations and uniform store format which supports fast opening of new stores.

In the next few years the Dino Group intends to make additional investments supporting new openings, including:

- (i) strengthen the existing Dino Group expansion department responsible for the process of search for sites and new openings;
- (ii) regularly secure sites for further development in existing and new regions;
- (iii) build further distribution centers, assuming that one center is able to service approx. 350 stores; and
- (iv) develop the production capacities of the meat processing plant operated by Agro-Rydzyna through its expansion and replacement of the production lines with new ones, and start another meat processing plant in a new location.

Continued growth in LFL sales revenue in the existing store network

Dino Polska anticipates that it will be able to continue growing LFL sales revenue in the existing store network. For this purpose, the Company will undertake efforts to increase the number of clients doing their shopping in Dino stores and the value of purchases per client.

Dino Polska is aware of the key trends contributing to a change in the lifestyle led by consumers and the customs concerning the purchases of groceries, also including the following:

- (i) looking for stores close to the place of residence and striving for convenience when making purchases;
- (ii) demanding high quality and branded products; and
- (iii) ever higher health awareness and greater interest in fresh and healthy food, including Polish products.

The model adopted by the Dino Polska Group of having modern medium-sized supermarkets situated close to peoples' place of residence is aligned to the consumer trends described above. The Company expects that this will continue to translate into the ability to sustain a high growth rate of opening new stores and to sustain a high pace of sales growth in the existing store network (LFL) compared to the overall market.

In addition, the Company intends to continue an active product range policy, providing for constant adaptation of the Dino stores' offering to customer expectations, which will evolve together with the consumers' increasing disposable income.

The Dino Group's ability to utilize (i) direct access to reputable domestic and regional producers of branded products, (ii) its own Agro-Rydzyna meat processing plant and (iii) efficient logistics network to make daily deliveries of fresh products as needed enables the Dino Polska Group to derive benefit from these trends, which should support revenue growth in the existing store network (LFL).

Consistent improvement in profitability

In past years the Dino Polska Group has generated long-lasting growth in its gross margin on sales and its EBITDA margin and it expects that it will be capable of improving its profitability by increasing the magnitude of its operations, the favorable nature of its business model and several strategic initiatives. They comprise:

- (i) benefits of scale leading to further gross margin growth due to the rapid store network expansion and the sales growth in the existing store network, and consequently, the rapidly growing volume of purchased products, making it possible to enhance the commercial conditions with business partners;
- (ii) greater cost effectiveness at the individual store level thanks to the systematically conducted actions to cut the costs of running a store;
- (iii) operational leverage pushing up the EBITDA margin on account of relatively fixed costs rising more slowly than revenue;

- (iv) planned investments to optimize the logistics network by opening further distribution centers, thereby shortening the supply routes and this should make it possible to further improve the cost effectiveness of transport; and
- (v) continuing the Dino Polska Group's effective and savings-minded marketing policy.

Dino Polska anticipates that all these strategic initiatives and characteristic attributes of its business model will contribute to further improvement in the Dino Polska and Dino Polska Group's profitability.

3.5. Growth prospects in 2019.

The objective of the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The following trends and events will affect the Dino Polska and Group's business until the end of 2019:

- (i) favorable economic situation in Poland and the government's social programs resulting in increasing disposable income and consumption expenditures of consumers;
- (ii) changing trends and habits among consumers (in particular an active lifestyle, less leisure time, higher frequency and shortened duration of shopping, attaching greater attention to the convenient location of stores) which lead to a stagnation of sales in hypermarkets and growth of sales in those market segments that enable less time-consuming purchases;
- (iii) changes in the regulatory environment: (i) a higher minimum wage, which on one hand translates into an increase in the general level of employee compensations in the Dino Polska Group and on the other hand provides Dino's customers with additional disposable income, and (ii) a gradual introduction of the Sunday trading ban.

Due to uncertainty about future economic conditions, the Company's expectations and projections are subject to a high dose of uncertainty. Moreover, the following factors will have a significant impact on the development of the Company and the Group in the future:

- (i) Dino Polska's ability to open the number of stores assumed in the strategy and develop the related logistics functions comprising new distribution centers and increased transportation capacities, as well as increasing the production capacities in the meat processing plant operated by Agro-Rydzyna;
- (ii) improved efficiency of operations, benefits resulting from economies of scale and optimization of operating expenses;
- (iii) improved efficiency of logistics services provided to all stores;
- (iv) accessibility of funding sources;
- (v) competition from other retail sales networks;
- (vi) changing legal regulations and standards, including tax burdens on business operators;
- (vii) costs of operating retail trade business caused by the introduction of new provisions of consumer law, labor law, sanitary law and environmental law;
- (viii) unstable and uncertain situation on the labor market in various regions of the country;
- (ix) higher prices of fuels and other energy carriers, translating into higher operating expenses for the Group's companies, including higher costs of merchandise purchases.

4. ECONOMIC AND FINANCIAL STANDING

The objective of Dino Polska and the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The Company expects to run a profitable business in the foreseeable future.

4.1. Recap of the Dino Polska Group's results

In 2018, the Dino Polska Group generated sales revenue of PLN 5,839 million, up 30.8% compared to the year before. CAGR of sales revenue for 2016-2018 stood at 31.1%.

The table below presents selected line items from the consolidated statement of profit or loss.

	For the year ended 31 December			Change
	2018	2017*	2016*	2018/ 2017
	(audited; PLN thousand)			(%)
Sales revenue*	5,838,529	4,462,835	3,320,574	30.8
Cost of sales*	(4,426,060)	(3,422,199)	(2,550,062)	29.3
Gross profit on sales	1,412,469	1,040,636	770,512	35.7
Other operating income	5,366	3,671	2,616	46.2
Sales and marketing expenses	(933,663)	(678,687)	(505,855)	37.6
General administration expenses	(52,635)	(60,025)	(49,434)	-12.3
Other operating expenses	(2,535)	(2,353)	(2,250)	7.7
Operating profit	429,002	303,242	215,589	41.5
Financial income	347	655	473	-47.1
Financial expenses	(45,371)	(37,881)	(29,607)	19.8
Profit before tax	383,978	266,016	186,455	44.3
Income tax	(76,424)	(52,412)	(35,245)	45.8
Net profit	307,554	213,604	151,210	44.0

Source: Consolidated Financial Statements.

* - in 2018 the Company changed the presentation of sales revenue and cost of sales, as a result of which both items were decreased by: PLN 57.1 million in 2018, PLN 53.1 million in 2017 and PLN 48.9 million in 2016. The adjustment does not have any influence on the gross profit on sales or other statement of profit or loss line items (for more information see: "Factors of key significance for the financial performance and restatement of comparative data")

Sales revenue

Sales revenue grew by PLN 1,375.7 million, or 30.8%, to PLN 5,838.5 million in 2018 as compared to PLN 4,462.8 million in 2017. This increase was driven predominantly by growth in revenue on sales of goods and materials by PLN 1,220.3 million, or 31.4%, to PLN 5,111.7 million in 2018, as compared to PLN 3,891.3 million in 2017. Revenue on sales of products and services surged by PLN 155.4 million, or 27.2%, to PLN 726.8 million in 2018, from PLN 571.5 million in 2017. The increase in sales revenue was driven mainly by the higher magnitude of the Dino Polska Group's business, i.e. predominantly: (i) growth in the number of stores by 26.1%, and (ii) higher LFL sales in the existing store network by 11.6%.

Cost of sales

In 2018, cost of sales represented 75.8% of sales revenue, whereas in 2017 it stood at 76.7% of sales revenue. Cost of sales increased by PLN 1,003.9 million, or 29.3%, to PLN 4,426.1 million in 2018 from PLN 3,422.2 million in 2017, with a nearly 31% increase in sales revenue. This growth was caused mainly by the Dino Polska Group's growing business size in connection with the expansion of the Dino store network and rising sales in existing stores (LFL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 255.0 million, i.e. 37.6% to PLN 933.7 million in 2018 compared to PLN 678.7 million in 2017. This growth was mainly driven by the Dino Polska Group's growing business size and the related expansion of Dino's stores and rising LFL sales in its existing stores, thereby necessitating higher

costs associated with store upkeep, storage of merchandise. The ratio of sales and marketing expenses to sales revenues in 2018 was 16.0%, while in 2017 it stood at 15.2%. The growth rate of sales and marketing expenses was higher than the growth of sales revenues in 2018, mainly due to: i) the Sunday trading ban introduced in March 2018, which resulted in loss of some of the revenue (associated mainly with Sunday impulse shopping), with limited possibility of optimizing operating expenses; ii) relatively high growth rate of the costs of external services and salaries.

General administration expenses

General administration expenses decreased by PLN 7.4 million, or 12.3%, to PLN 52.6 million in 2018 as compared to PLN 60.0 million in 2017. The decrease results from a relatively high level of general administration expenses in 2017 which comprised one-off expenses (PLN 12.3 million) associated with the Company's IPO in April 2017. The ratio of general administration expenses to sales revenue in 2018 was 0.9%, and 1.3% in 2017.

Costs by nature

The following table presents costs by nature.

	For the year ended 31 December			Change
	2018	2017*	2016*	2018 / 2017
	(audited; PLN thousand)			(%)
Depreciation and amortization	112,058	85,872	65,202	30.5
Consumption of materials and energy	512,155	444,107	331,610	15.3
External services	238,042	169,583	137,775	40.4
Taxes and fees	30,207	23,908	17,129	26.3
Employee benefits	649,399	477,028	341,805	36.1
Other costs by nature	26,601	17,339	12,659	53.4
Cost of goods and materials sold*	3,843,414	2,943,809	2,200,935	30.6
Total costs by nature*, including:	5,411,876	4,161,646	3,107,115	30.0
Items captured in cost of sales*	4,426,060	3,422,199	2,550,062	29.3
Items captured in sales and marketing expenses	933,663	678,687	505,855	37.6
Items captured in general administration expenses	52,635	60,025	49,434	-12.3
Movement in products	(482)	735	1,764	-

Source: Consolidated Financial Statements.

* The data for 2017 and 2016 were restated in accordance with the information in the section: "Factors of key significance for the financial performance and restatement of comparative data"

Total costs by nature rose PLN 1,250.2 million, or 30.1%, to PLN 5,411.9 million in 2018, compared to PLN 4,161.6 million in 2017, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 899.6 million), (ii) costs of employee benefits (up PLN 172.4 million), (iii) consumption of materials and energy (up PLN 68.0 million) and (iv) external services (up PLN 68.5 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the existing store network (LFL).

Employee benefits

Cost of employee benefits increased by PLN 172.4 million, or 36.1%, to PLN 649.4 million in 2018 compared to PLN 477.0 million in 2017. This growth resulted primarily from the higher number of Dino Polska Group employees from 13,129 as at 31 December 2017 to 16,530 as at 31 December 2018 in connection with the Dino Polska Group's expanding business size and the related expansion of the Dino store network as well as rising sales in the existing stores (LFL) and, to a lesser extent, from the higher average employee compensation in the Dino Polska Group. In 2018 and 2017, the cost of employee benefits was 11.1% and 10.7% of sales revenue, respectively.

External services

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services, increased by PLN 68.5 million, or 40.4%, to PLN 238.0 million in 2018 compared to PLN 169.6 million in 2017. This growth was caused mainly by the Dino Polska Group's growing business size and

the related expansion of the Dino store network and rising LFL sales in the existing store network. The growth rate of the costs of external services was higher than the growth rate of sales revenue generated by the Dino Polska Group mainly in connection with the higher growth rate of the costs of transport services which, in turn, resulted from fuel price hikes in 2018 and a long and hot summer. The costs of external services represented 4.1% of sales revenue in 2018, as compared to 3.8% in 2017.

Consumption of materials and energy

Consumption of materials and energy increased by PLN 68.0 million, or 15.3%, to PLN 512.1 million in 2018 from PLN 444.1 million in 2017. This growth was caused mainly by higher consumption of materials and raw materials in connection with the expanding business size and the expansion of the store network and rising LFL sales in the existing store network. The growth rate of the costs of materials and energy was lower than the growth rate of sales revenue generated by the Dino Polska Group in connection with a lower growth rate of both costs of energy and costs of materials, comprising mainly the raw materials used by Agro-Rydzyna. The costs associated with the consumption of materials and energy represented 8.8% of sales revenue in 2018, as compared to 10.0% in 2017.

Financial expenses

Financial expenses of the Dino Polska Group increased by PLN 7.5 million, or 19.8%, to PLN 45.4 million in 2018 from PLN 37.9 million in 2017. This growth was caused mainly by (i) the higher amount of interest on trade payables (by PLN 3.8 million or 26.1%) as a result of the Group's growing business and the related expansion of the store network and rising LFL sales in the existing store network, (ii) the higher amount of interest on bank loans (by PLN 1.9 million or 10.9%) in connection with taking out new bank loans.

Income tax

In 2018, the Dino Polska Group recorded a tax expense of PLN 76.4 million, as compared to PLN 52.4 million in 2017. The effective tax rate of the Dino Polska Group was 19.9% and 19.7% in 2018 and 2017, respectively, while the statutory corporate income tax (CIT) rate was 19%.

EBITDA result

In 2018 the Dino Group recorded an increase in the EBITDA result by PLN 139.7 million, or 34.8%, to PLN 541.1 million from PLN 401.4 million in 2017 (adjusted for one-off costs associated with the IPO at WSE. The EBITDA margin for 2018 amounted to 9.3%, while in 2017 it stood at 8.7% (9.0% after adjustment for the one-off costs associated with the IPO at WSE).

The following table presents the EBITDA result.

	For the year ended 31 December			Change
	2018	2017	2016	2018 / 2017
	(PLN thousand)			(%)
Net profit	307,554	213,604	151,210	46.8
Income tax	76,424	52,412	35,245	34.5
Result on financing activity	45,024	37,226	29,134	20.9
Depreciation and amortization	112,058	85,872	65,202	30.5
EBITDA	541,060	389,114	280,791	39.0
EBITDA margin	9.3%	8.7%	8.5%	-
One-off events (costs associated with the IPO at WSE)	-	12,272	7,500	-
Normalized EBITDA	541,060	401,386	288,291	34.8
Normalized EBITDA margin	9.3%	9.0%	8.7%	-

Source: Consolidated Financial Statements, own calculations.

4.2. Structure of the Group's assets and liabilities

Assets

The table below shows selected information on the Dino Polska Group's assets as at 31 December 2018, 2017 and 2016, respectively

	As at 31 December			Change
	2018	2017	2016	2018 / 2017
	(audited; PLN thousand)			(%)
Non-current assets				
Property, plant and equipment	2,347,025	1,697,600	1,337,207	38.3
Intangible assets	95,024	92,774	93,072	2.4
Other non-financial assets (non-current)	22	30	-	-27.3
Deferred tax assets	16,307	17,560	26,867	-7.1
Total non-current assets	2,458,378	1,807,964	1,457,146	36.0
Current assets				
Inventories	445,357	368,262	276,541	20.9
Trade and other receivables	22,111	37,991	33,665	-41.8
Income tax receivables	0	77	613	-100.0
Other non-financial assets	76,483	34,409	22,447	122.3
Cash and cash equivalents	285,361	202,626	66,428	40.8
Total current assets	829,312	643,365	399,694	28.9
Total assets	3,287,690	2,451,329	1,856,840	34.1

Source: Consolidated Financial Statements.

Total assets increased by PLN 836.4 million, i.e. 34.1%, from PLN 2,451.3 million as at 31 December 2017 to PLN 3,287.7 million as at 31 December 2018.

In 2016-2018, the main components of assets included: (i) property, plant and equipment representing 72.0%, 69.3% and 71.4% of total assets as at 31 December 2016, 2017 and 2018, respectively; (ii) inventories representing 14.9%, 15.0% and 13.5% of total assets as at 31 December 2016, 2017 and 2018, respectively; (iii) intangible assets representing 5.0%, 3.8% and 2.9% of total assets as at 31 December 2016, 2017 and 2018, respectively, and (iv) cash and cash equivalents representing 3.6%, 8.3% and 8.7% of total assets as at 31 December 2016, 2017 and 2018, respectively.

As at 31 December 2018 non-current assets accounted for 74.8% of total assets, up by 1.0 pp from 2017, while current assets represented 25.2% of total assets, down by 1.0 pp from 2017.

Non-current assets increased by PLN 650.4 million, or by 36.0% from PLN 1,808.0 million as at 31 December 2017 to PLN 2,458.4 million as at 31 December 2018. This increase was caused mainly by an increase in property, plant and equipment (by PLN 649.4 million, or 38.3%) which in turn was caused primarily by the growth of the Dino Group sales network (new stores) and an increased scale of business (launch or completion of construction of new Dino stores and the central warehouse, capital expenditures for technical equipment and machinery, vehicles and other property, plant and equipment), partially offset by depreciation and amortization or liquidation of property, plant and equipment.

Current assets increased by PLN 185.9 million, or 28.9%, from PLN 643.4 million as at 31 December 2017 to PLN 829.3 million as at 31 December 2018. This increase was caused mainly by the increase in: (i) cash and cash equivalents (by PLN 82.7 million, or 40.8%) driven by an increase in the scale of business, (ii) inventories (by PLN 77.1 million or 20.9%), driven mainly by an increase in the scale of Dino Polska Group's business, and (iii) other non-financial assets (by PLN 42.1 million, or 122.3%).

Liabilities

The table below shows selected information on the Dino Polska Group's liabilities

	As at 31 December			Change
	2018	2017	2016	2018 / 2017
	(audited; thousands of PLN)			(%)
Non-current liabilities				
Interest-bearing loans and borrowings and finance lease liabilities	585,328	470,590	452,378	24.4
Liabilities by virtue of outstanding securities (LT)	99,829	99,749	0	-
Other liabilities	240	270	300	-11.1
Provisions for employee benefits	1,550	1,231	1,115	25.9
Deferred tax liability	5,923	3,495	5,498	69.5
Accruals and deferred revenue (LT)	306	548	87	-44.1
Total non-current liabilities	693,176	575,883	459,378	20.4
Current liabilities				
Trade and other payables	1,141,934	811,322	574,426	40.7
Current part of interest-bearing loans and borrowings and finance lease liabilities	148,677	117,074	110,173	27.0
Liabilities by virtue of outstanding securities (ST)	654	654	0	-
Income tax liabilities	67,004	20,729	10,268	223.2
Accruals and deferred revenue (ST)	23,832	20,824	13,227	14.4
Provisions for employee benefits and other provisions	541	350	5,892	54.5
Total current liabilities	1,382,641	970,953	713,986	43.4
Total liabilities	2,075,818	1,546,836	1,173,364	34.6

Source: Consolidated Financial Statements.

In 2016-2018, the main components of liabilities were: (i) trade and other payables representing 49.0%, 52.5%, and 55.0% of liabilities as at 31 December 2016, 2017 and 2018, respectively; (ii) interest-bearing loans, borrowings and finance lease liabilities (non-current part) representing 38.6%, 30.4% and 28.2% of liabilities as at 31 December 2016, 2017 and 2018, respectively; and (iii) current part of interest-bearing loans and finance lease liabilities representing 9.4%, 7.6% and 7.2% of liabilities as at 31 December 2016, 2017 and 2018, respectively.

Total liabilities increased by PLN 529.0 million, or 34.2%, from PLN 1,546.8 million as at 31 December 2017 to PLN 2,075.8 million as at 31 December 2018.

Non-current liabilities

As at 31 December 2018 non-current liabilities accounted for 33.4% of total assets, down by 3.8 pp from the year before.

Non-current liabilities increased by PLN 117.3 million, or 20.4%, from PLN 575.9 million as at 31 December 2017 to PLN 693.2 million as at 31 December 2018, predominantly as a result of higher interest-bearing loans and borrowings and liabilities under financial lease agreements (by PLN 114.7 million, or 24.4%). The additional loans were used to finance the expansion of the Dino store network and expenditures related to the development of the distribution center in Rzeszotary.

Current liabilities

As at 31 December 2018 current liabilities accounted for 66.6% of total assets.

Current liabilities increased by PLN 411.7 million, or 42.4%, from PLN 971.0 million as at 31 December 2017 to PLN 1,382.6 million as at 31 December 2018, predominantly as a result of: (i) an increase in trade and other liabilities (by PLN 330.0 million, or 40.7%, driven mainly by an increase in the scale of business of Dino Polska Group); (ii) an increase in income tax liabilities (by PLN 46.3 million, or 223.2%, primarily due to the increasing

scale of the Group's business) and (iii) current part of the interest-bearing loans and borrowings and finance lease liabilities (by PLN 31.6 million, or 27.0%).

Equity

The table below shows information on Dino Polska Group's equity.

	As at 31 December			Change
	2018	2017	2016	2018 / 2017
	(audited; PLN thousand)			(%)
Share capital	9,804	9,804	9,804	0.0
Supplementary capital	1,307,273	1,111,860	510,720	17.6
Retained earnings	-112,704	-224,671	162,952	-49.8
Other equity	7,500	7,500	-	0.0
Total equity	1,211,873	904,493	683,476	34.3

Source: Consolidated Financial Statements.

As at 31 December 2018, total equity was PLN 1,211.9 million, increasing by PLN 307.4 million, or 34.0%, compared to PLN 904.5 million as at 31 December 2017.

Liquidity and financial resources

The Dino Polska Group finances its liquidity and capital needs mainly through: (i) cash generated in its operating activities, (ii) loans (overdrafts and investment loans), (iii) the issue (in 2017) of debt securities (bonds), and (iv) finance leases of trailers, means of transport, logistics center equipment and devices. The Company plans to continue financing its future capital needs from the above-mentioned sources and expects to gradually reduce finance leases.

The principal capital needs of the Dino Polska Group are related to its operating activities, financing of capital expenditures (related in particular to further development of the Dino store network) and repayment of debt and trade and other payables. The financial strategy of the Dino Polska Group is to secure, to the greatest extent possible, financial resources and liquidity allowing it to repay its liabilities when they fall due, both in the normal course of business and in extraordinary circumstances, to protect the Dino Polska Group against the risk of losses or damage to its reputation. The capital expenditures required for further Dino store network roll-out are financed mainly from the Dino Polska Group's own funds from current operating activities.

As at 31 December 2018, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where most of the sales are carried out in cash, inventories are minimized and suppliers offer deferred terms of payment. At the same time, the Company and the Group intensively develop its network using free cash and funding from bank loans and bond issues to increase the number of its operational stores. The covenants related to the loan agreements and outstanding bonds are monitored on an ongoing basis. As at the balance sheet date of 31 December 2018, there was no default on the terms and conditions of loan agreements and bonds and the Management Board of Dino Polska believes there is no risk that banks may terminate such agreements or bondholders request early redemption of the bonds within 12 months of the balance sheet date of 31 December 2018. As at the Report Date, no circumstances have been found that would indicate a threat for Dino Polska and other Group companies to continue as a going concern.

The Company believes that the level of working capital, the financing available to the Dino Polska Group and its ability to generate positive cash flows from operating activities are sufficient to cover its current needs and conduct its business for at least 12 months from the Report Date.

4.3. Group's Statement of cash flows

The following table presents information on the Dino Polska Group's cash flows

	For the year ended 31 December			Change
	2018	2017	2016	2018 / 2017
	(audited; PLN thousand)			(%)
Net cash from operating activities, including:	634,455	497,204	324,323	27.6
<i>profit before tax</i>	383,978	266,016	186,455	44.3
<i>depreciation and amortization</i>	112,058	85,872	65,202	30.5
<i>movement in working capital</i>	116,143	131,184	47,237	-11.5
<i>other</i>	22,275	14,132	25,429	57.6
Net cash from investing activities	(634,018)	(402,143)	(310,180)	57.7
Net cash from financing activities	82,298	41,137	18,365	100.1
Net increase in cash and cash equivalents	82,735	136,198	32,508	-
Cash at the beginning of the period	202,626	66,428	33,920	-
Cash at the end of the period	285,361	202,626	66,428	-

Source: Consolidated Financial Statements.

Net cash flows from operating activities

In 2018, the Dino Polska Group generated PLN 634.5 million of net cash from its operating activities, which was PLN 137.3 million more than in 2017.

The increase in net cash from operating activities was driven mainly by the higher magnitude of the Dino Polska Group's business, i.e. predominantly the growing top line following from expansion of the store network and rising LFL sales in the existing store network. Top line growth was higher than the corresponding increase in operating expenses and the related expenditures, leading to higher proceeds on operating activity. The factors also affected the increasing working capital of the Dino Polska Group.

In 2018, Dino Polska Group's cash flows from operating activities stood at PLN 634.5 million. This amount includes the 2018 profit before tax (PLN 384.0 million) and positive cash flows (in the total amount of PLN 380.2 million) resulting mainly from: (i) movement in liabilities, except for loans and borrowings (PLN 219.0 million), and (ii) depreciation and amortization (PLN 112.1 million). Cash inflows were partly offset by cash expenditures (totaling PLN 129.7 million) which in 2018 comprised mainly: (i) movement in inventories (PLN 77.1 million), (ii) income tax paid (PLN 26.4 million) and (iii) movement in receivables (PLN 25.7 million).

Net cash flows from financing activities

In 2018, Dino Polska Group's cash flows from financing activities stood at PLN 82.3 million. Cash flows included mainly inflows from loans and borrowings (PLN 373.9 million) granted to the Dino Polska Group in 2018. Cash inflows were partly offset by cash expenditures (totaling PLN 291.6 million) which in 2018 comprised mainly: (i) repayment of loans and borrowings (PLN 199.8 million), (ii) repayment of finance lease liabilities (PLN 46.4 million) pertaining to trailers, means of transport, store and warehouse equipment and devices, as well as (iii) interest paid (PLN 45.4 million).

Net increase in cash and cash equivalents

As a result of positive net cash flows at the end of 2018, the balance of cash and cash equivalents in the Dino Polska Group increased by PLN 82.7 million compared to 2017.

4.4. Capital expenditures

In 2018, the Dino Polska Group's cash flow from investing activities was negative at PLN (634.0) million. The negative cash flows were caused mainly by the expenditures on the purchase of property, plant and equipment and intangible assets associated with the store rollout and development of the logistics functions.

Dino Polska Group's capital expenditures (defined as the sum of acquisitions of non-current assets and intangible assets, including investments in progress and fixed assets whose acquisition was financed with finance leases) in 2018 totaled PLN 766.7 million and were PLN 309.6 million, or 67.8%, higher than in 2017, when they stood at PLN 457.0 million.

All the expenditures were incurred in Poland and financed by the Dino Group from its own funds earned on the operating activity, interest-bearing bank loans, bonds issued and finance leases.

Capital expenditures in 2018 comprised mainly: (i) expenditures on expansion of Dino store network, (ii) expenditures on logistics, including expenditures related to the development of the warehouse space in Rzeszotary, purchase of refrigerated semi-trailers and purchase of equipment (forklifts), and (iii) expenditures on extension of the production capacity of Agro-Rydzyna's meat processing plant. In addition, in 2018 Dino Polska acquired from Domex-Kuśnierek sp.j. 12 real properties which so far were used by Dino stores operated by Domex-Kuśnierek sp.j. on the basis of franchise agreements. In 2019 Dino Polska intends to purchase, one more real property, and upon obtaining UOKiK's approval, an organized part of the enterprise of Domex-Kuśnierek sp.j., which operates franchise Dino stores.

4.5. Off-balance sheet liabilities

Off-balance sheet liabilities as at 31 December 2018 amounted to PLN 335,411 thousand (as at 31 December 2017: PLN 174,415 thousand). These liabilities relate to liabilities on account of purchases of property, plant and equipment included purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs.

4.6. Recap of Dino Polska's results

The non-standard factor affecting Dino Polska's results in 2018 was the merger with the subsidiary Pol-food Polska Sp. z o.o. ("Pol-food"). The merger was a step in the process aimed at simplifying the structure of the Dino Polska Group. Earlier on, the business objective pursued by Pol-Food has been to manage private labels, conduct marketing activities and manage trademarks. Considering that:

- (i) Dino Polska's offering is shaped to ensure customer satisfaction through fresh products and high-quality merchandise supplied by manufacturers under their own brands (in most cases very well known to Polish consumers) and the Group has no intention to significantly develop its portfolio of private label products (apart from Agro-Rydzyna products, private labels account for less than 2% of revenue generated by Dino Polska S.A.);
- (ii) Dino Polska develops its business in own stores and has no plans to open new stores under the franchise model (Pol-Food's business in this area is limited to licensing the rights to operate 13 franchise stores under the Dino brand, whereas at the end of September 2018 the whole Dino network consisted of 895 stores);
- (iii) Dino Polska already enjoys a sufficiently large scale of business to be able to respond effectively to key consumer preferences which determine the customer's selection of the store for day-to-day purchases (i.e. an attractive product range, low prices and proximity to home) and no longer needs, unlike in previous years and in the light of a relatively low degree of customer loyalty to food network brands, to focus on building brand recognition of its stores with the help of a specialized company;

the Dino Polska Management Board has decided that it will be more efficient to place marketing functions directly within the Dino Polska organizational structure. The inclusion of Pol-Food's operations into Dino Polska, in addition to reducing certain overhead expenses, will help eliminate cash flows and allocation of cash to Pol-Food acting as a marketing company and thus enable a more flexible use of the Dino Group's cash base in the execution of its capital expenditure program associated with the Dino store network roll-out. In connection with the merger the Company restated its comparative data (for 2017) accordingly.

Statement of profit or loss (selected line items)

	For the year ended 31 December		Change
	2018	2017*	2018 / 2017
	(audited; PLN thousand)		%
Net revenues on sales and equivalents	5,832,221	4,454,243	30.9
Operating expenses	(5,524,871)	(4,244,402)	30.2
Sales profit / (loss)	307,350	209,841	46.5
Other operating income	4,652	2,765	68.2
Other operating expenses	(2,378)	(1,924)	23.6
Operating profit / (loss)	309,624	210,682	47.0
Financial income	5,234	5,953	-12.1
Financial expenses	(49,295)	(43,190)	14.1
Gross profit / (loss)	265,563	173,445	53.1
Income tax	(57,005)	(34,287)	66.3
Net profit (loss)	208,558	139,158	49.9

Source: Standalone Financial Statements.

* Data for 2017 restated in connection with the merger of Dino Polska S.A. and its subsidiary Pol-Food Polska Sp. z o.o.

In 2018 the Company recorded sales revenues at PLN 5,832.2 million, or 30.9% higher than in 2017. This increase is attributable to net revenue on sales of goods and materials conducted in the Dino store network, which, in turn, resulted from both a higher number of stores and higher yoy revenues in the existing stores.

Operating expenses increased by 30.2% to PLN 5,524.9 million. This growth was caused mainly by Dino Polska's growing business size in connection with the expansion of the network and rising sales in the existing store network (like-for-like).

The increase in net profit results from growth in the scale of the Company's business and from the positive difference between the rate of growth in sales revenues and that in operating expenses.

The increase in financial expenses by 14.1% yoy up to PLN 49.3 million was caused by the increasing scale of Dino Polska's business and therefore higher level of interest and fees.

Balance sheet (selected line items)

	As at 31 December		Change
	2018	2017*	2018 / 2017
	(PLN thousand)		(%)
Total non-current assets	2,031,010	1,547,215	31.3
Intangible assets	22,868	22,486	1.7
Property, plant and equipment	1,256,963	773,843	62.4
Non-current investments	727,435	728,943	-0.2
Non-current prepayments and accruals	23,744	21,943	8.2
Total current assets	948,885	719,008	32.0
Inventories	428,621	358,573	19.5
Current receivables	79,762	70,307	13.4
Current investments	438,086	257,422	70.2
Current prepayments and accruals	2,416	32,706	-92.6
Total assets	2,979,895	2,266,223	31.5
Equity	929,970	758,624	22.6
Share capital	9,804	9,804	0.0
Supplementary capital	681,260	621,345	9.6

Net profit (loss)	206,240	139,158	49.9
Liabilities and provisions for liabilities	2,049,925	1,507,599	36.0
Provisions for liabilities	29,670	20,537	44.5
Non-current liabilities	600,881	492,041	22.1
Current liabilities	1,397,539	975,747	43.2
Accruals and deferred revenue	21,835	19,274	13.3
Total liabilities and equity	2,979,895	2,266,223	31.5

Source: Standalone Financial Statements.

* Data for 2017 restated in connection with the merger of Dino Polska S.A. and its subsidiary Pol-Food Polska Sp. z o.o.

As at 31 December 2018, the Company's assets amounted to PLN 2,979,895 thousand and consisted of the following:

- non-current assets of PLN 2,031,010 thousand,
- current assets of PLN 948,885 thousand.

In 2018 and 2017, total assets consisted mainly of: property, plant and equipment (representing 42.2% and 34.1% of total assets, respectively), non-current investments (24.4% and 32.2% of total assets, respectively), inventories (14.4% and 15.8% of total assets, respectively) and current investments (14.7% and 11.4% of total assets, respectively).

Non-current assets rose by PLN 483.8 million, or 31.3%, in 2018. This growth was caused mainly by higher property, plant and equipment (by PLN 483.1 million or 62.4%) which, in turn, was caused primarily by the Dino Polska Group's network rollout (new Dino stores) and capital expenditures.

The largest current asset items are: (i) inventories (which represent 45.2% and 49.9% of current assets as at 31 December 2018 and 2017, respectively), (ii) current investments (46.2% and 35.8% of current assets as at 31 December 2018 and 2017, respectively).

Current assets rose by PLN 229.9 million, or 32.0%. This increase was caused mainly by the increase in: (i) current investments (by PLN 180.7 million, or 70.2%) driven chiefly by an increase in cash and other cash assets by PLN 89.8 million, (ii) inventories (by PLN 70.0 million or 19.5%), driven mainly by an increase in the scale of Dino Polska Group's business.

As at 31 December 2018, equity was positive at PLN 930.0 million, including:

- share capital of PLN 9.8 million,
- supplementary capital of PLN 681.3 million.

Other funding sources of the assets, i.e. liabilities and provisions, were as follows as at 31 December 2018:

- provisions for liabilities of PLN 29.7 million,
- non-current liabilities of PLN 600.9 million,
- current liabilities of PLN 1,397.5 million,
- accruals of PLN 21.8 million.

Non-current liabilities rose by PLN 108.8 million, or 22.1%, chiefly due to the increase in the value of loans by PLN 130.8 million, while current liabilities increased by PLN 421.8 million and were 43.2% higher than the year before. The increase in current liabilities was driven mainly by growth in trade payables, which in turn was caused by the expanding scale of business of the Dino store network and rising liabilities to related parties due to an increase in business (deliveries from Agro-Rydzyna) and opening new stores.

Statement of cash flows

Net cash from operating activities generated by Dino Polska in 2018 and 2017 was PLN 611.2 million and PLN 440.6 million, respectively. The increase in net cash from operating activities was driven mainly by the increased scale of Dino Polska Group's business.

In 2018, Dino Polska's cash flow from investing activities was negative at PLN (587.0) million. The negative cash flows were caused mainly by the expenditures on the purchase of property, plant and equipment and intangible assets (PLN 500.3 million).

4.7. Dividend policy

Taking into account the quick organic growth strategy for the Dino Group store network, the Management Board of the Company does not plan to recommend payment of a dividend for 2018 to the Shareholder Meeting. The Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

As at the Date of the Report, the Management Board has not made any decision whether to recommend a dividend payment to the Shareholder Meeting and its possible amount for the future years. Decisions in this respect will be made at the appropriate time after the end of each financial year.

However, the dividend policy in the future will be revised by the Management Board as necessary depending on the circumstances, and decisions will be made taking into account a variety of factors relating to the Company, including business prospects, future profits, demand for cash, financial standing, indebtedness, expansion plans and legal requirements in this respect.

Historical data on dividend

The Company has not paid the dividend for 2017 and for the earlier years.

4.8. Drivers of the operating and financial results

General drivers of the operating and financial result

Key drivers of the Company's and Dino Polska Group's operating and financial results in 2017-2018 are discussed below. These factors may still impact the business activity, operating and financial results, financial standing, cash flows and growth prospects of the Dino Polska Group and present the trends which, in the Company's opinion, will apply to Poland's grocery retail market over the next few years.

The Dino Polska Group's operating and financial results are impacted primarily by: (i) the business environment in Poland and the trends and customs among consumers, (ii) the pace of opening new stores by the Dino Group and increase of revenue in the existing store network (LFL), (iii) the purchasing power of the Dino Polska Group and (iv) the level of debt and interest rates.

Business environment in Poland and trends and customs among consumers

The Dino Polska Group does business solely in Poland. For this reason, Poland's macroeconomic conditions, driven by the economic environment in the region and the global economy, have significant importance for the activity of the Dino Polska Group. All changes in the macroeconomic conditions, such as GDP growth rate, unemployment rate, wages (including minimum wages), individual consumption, customer trust ratio or interest rates and inflation/deflation rates, impact the overall affluence of the society, consumers' purchasing power and propensity to spend money, thus shaping the customers' habits as regards disposal of income. The above factors also influence the Dino Polska Group's product prices and the value of sales, and thus have significant impact on Dino Polska Group's financial performance.

The Polish economy is the eighth largest economy in the EU. It is believed that Poland's economic growth, the government's pro-social programs introduced in previous years and the increase in minimum wages by 8.1% in 2017, 5% in 2018 and 7.1% in 2019, have brought or will bring in the nearest future more affluence and higher consumption expenditures, which translates among others into a higher demand for Dino Polska Group's products.

Pace of opening new stores and growth in LFL sales revenues in the existing store network

Dino Polska Group's financial performance is influenced by: (i) pace of opening new stores by the Dino Group and (ii) growth in LFL sales revenues in the existing store network.

Opening new stores

As part of implementation of its growth strategy, the Dino Polska Group quickly expands its operations through growing its store network and increasing sales in the existing store network (LFL). In 2016-2018, the Dino Polska Group increased the total number of stores by 466, from 511 as at 1 January 2016 to 977 as at 31 December 2018. The Company's strategy provides for further expansion of its store network in Poland to exceed 1,200 by the end of 2020.

The Company's strategy pertaining to opening new stores influenced the Dino Polska Group's performance in particular through (i) quicker increase of sales revenues than cost of sales in connection with purchase and sale of products in newly opened stores and increasing purchasing power of the Dino Polska Group, (ii) increase of capital expenditures associated with the costs of establishment of a new store, and (iii) reducing the net debt in relation to EBITDA despite the nominal increase in debt.

Sales in the existing store network (LFL)

Sales revenues in Dino's existing store network (LFL) depend on the sales volume and value, and customer preferences regarding the purchased products.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's existing store network.

%	2018				2017				2018	2017	2016
	Q4	Q3	Q2	Q1	Q4	Q3	Q2	Q1			
Inflation (deflation)	1.4	2.0	1.7	1.5	2.2	1.9	1.8	2.0	1.6	2.0	-0.6
Food price inflation	1.1	2.2	3.2	3.9	5.6	4.6	3.4	4.2	2.6	4.2	0.8
Dino's LFL	9.6	8.6	10.0	20.3	18.8	16.1	16.5	12.6	11.6	16.2	11.3

*stores are included in the calculation of the LFL ratio starting from the 13th full month of their existence

** source: Central Statistical Office of Poland (GUS), Dino Polska

In 2018, the increase in LFL revenues was 11.6%. The main factors that suppressed the rate of growth in this ratio in 2018 compared to 2017 were the Sunday trading ban introduced in March 2018 and the lower inflation rate of food prices.

Purchasing power

Together with the increasing scale of business, also the purchasing power of the Dino Polska Group increases. In 2016-2018, the Dino Polska Group sourced most products directly from producers or their main representatives. The large volumes of orders placed with suppliers accrued benefits in the form of economies of scale. They enabled the Dino Polska Group to make purchases on increasingly favorable terms. These factors resulted in 2016-2018 in improvement of the Dino Polska Group's profitability, which translated into increased gross margin and EBITDA margin.

Capital expenditures

Implementation of the Dino Polska Group's strategy of the Dino store network roll-out, its accompanying logistic infrastructure and expansion of production capacity of the Agro-Rydzyna meat processing plant requires significant capital expenditures. The Company plans to incur capital expenditures in 2019 in the range of PLN 850 million.

Debt and changes in interest rates

In 2016-2018, to finance the store rollout, the Dino Polska Group used external financing, mainly in the form of loans and finance leases. As at 31 December 2018, interest-bearing loans and borrowings, bonds issued and finance lease liabilities of the Dino Polska Group amounted to PLN 834.5 million, compared to PLN 688.1 million as at 31 December 2017. In the past the Dino Polska Group cooperated with numerous financial

institutions and entered into a number of loan agreements. In connection with the significant increase in the scale of business of the Dino Polska Group and the stable credit history, the Company will consider consolidation of its debt in the future (in part or in full).

In connection with the existing debt of the Dino Polska Group, volatility of interest rates and other ratios have had and still may have influence on the Dino Polska Group's operations. In 2016-2018, most of the Dino Polska Group's financial debt (including loans, bonds and leases) bore interest based on WIBOR 1M or WIBOR 3M, as a result of which each change of the interest rates caused a change of the Dino Polska Group's financial expenses. In connection with the interest rate cuts in the past few years and their stabilization at a low level, the increase in the Dino Polska Group's debt did not translate into any major rise in the Dino Polska Group's financial expenses, which in the year ended 31 December 2018 amounted to PLN 45.4 million, compared to PLN 37.9 million in the year ended 31 December 2017.

4.9. Factors of key significance for the financial performance and restatement of comparative data

Initial public offering of Dino Polska's shares

2017 saw the execution of the initial public offering of Dino Polska's shares ("IPO"), which started to be prepared in 2016. As a result, the Company incurred additional non-recurring expenses in those years. These expenses included: i) costs of preparation and execution of the IPO; ii) costs of consulting and preparation of the prospectus; iii) costs of promotion of the IPO. In addition, in connection with the IPO, Dino Polska's managers participated in the incentive program and received compensation from the shareholder selling the Shares in the IPO which, according to the regulations in IFRS 2 "Share-based Payments", was recognized as costs of salaries in correspondence with the Company's other equity. The total amount of the above costs shown in the Company's general administration expenses and classified as non-recurring expenses, amounted to PLN 7.5 million in 2016 and PLN 12.3 million (out of which PLN 7.5 million was of a non-pecuniary nature).

Restatement of comparative data

In 2018, the Company changed the method of recognizing transactions involving prepaid cards, journals and newspapers in its ledgers, as a result of which it does not disclose separately revenues on their sales and the cost of their purchase but only recognizes in its sales revenues the gain generated on sales of these goods.

The Company retroactively restated the 2017 data in its financial statements in the consolidated profit and loss account in the amount of PLN 53,098 thousand. The corresponding amount applicable to 2016 was PLN 48,943 thousand. The change did not affect the company's gross profit on sales or any other profit and loss account items or the level of equity.

The following table presents the impact of the change in the recognition of revenues from sales of prepaid cards, journals and newspapers on sales revenues and cost of sales on a consolidated basis

	2018	2017	2016*
<i>(adjusted; PLN thousand)</i>			
Sales revenues	5,838,529	4,462,835	3,320,574
Cost of sales	(4,426,060)	(3,422,199)	(2,550,062)
Gross profit on sales	1,412,469	1,040,636	770,512
<i>(adjustment amount; PLN thousand)</i>			
	57,122	53,098	48,943
<i>(before adjustment; PLN thousand)</i>			
Sales revenues	5,896,154	4,515,933	3,369,517
Cost of sales	(4,483,156)	(3,475,297)	(2,599,005)
Gross profit on sales	1,412,469	1,040,636	770,512

* - unaudited

IFRS 16

Starting in 2019, the Dino Group will prepare consolidated financial statements in compliance with the new IFRS 16 on the measurement and presentation of leases.

The Group is planning to implement IFRS 16 using the modified retrospective method, which means that the Group will not revalue any previous periods. To enable the comparability of data, in its financial statements for 2019 the Dino Group will provide separate information on the impact of IFRS 16 on its results. As a rule, due to the relatively low degree of the use of operating leases by the Dino Group, the impact of IFRS 16 on the Dino Group's consolidated financial statements will be minor.

Presented below, for illustrative purposes only, are unaudited estimates of the impact of IFRS 16 on the Company's financial statements for 2018, as if the new standard had been applicable since 1 January 2018 and assuming that the terms of operating lease agreements are the same as those at the beginning of 2019.

- (i) impact on EBITDA: increase by PLN 11.2 million (as a result of lower lease expenses in external services)
- (ii) depreciation and amortization: increase by PLN 10.1 million
- (iii) impact on operating profit: increase by PLN 1.1 million (as a result of lower lease expenses in external services and higher depreciation and amortization)
- (iv) financial expenses: increase by PLN 1.9 million
- (v) profit before tax: decrease by PLN 0.8 million
- (vi) non-current lease liabilities: increase by PLN 53.9 million
- (vii) current lease liabilities: increase by PLN 9.2 million

4.10. Financial risk management

The main financial instruments used by Dino Polska and the Dino Polska Group include bank loans, borrowings, bonds, finance lease and hire-purchase agreements, cash and short-term deposits. In addition, in 2017, Dino Polska established a bond issue program up to PLN 500 million under which, in October 2017, bonds with the nominal value of PLN 100 million were issued. The main objective of these instruments is to raise funding for Dino Polska Group's activities.

According to the policy applied by the Dino Group in 2018, the Dino Polska Group currently does not trade in financial instruments. The Company does not hold and does not issue any financial derivatives held for trading.

The main types of risk arising from the Dino Polska Group's financial instruments include interest rate risk, liquidity risk, FX risk and credit risk. The Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

Interest rate risk

The Dino Polska Group's exposure to the risk arising from changes in interest rates refers primarily to non-current financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments.

Interest rate risk - sensitivity to changes

The table below presents sensitivity of the profit (loss) before tax to the reasonably possible changes in interest rates, assuming that the other factors do not change (in connection with floating interest rate liabilities). The impact on Dino Polska Group's equity or total comprehensive income is not presented.

	Increase/decrease percentage points (PLN thousand) (audited)	byImpact on profit or loss before tax
Year ended 31 December 2018		
PLN	+1	(8.453)
PLN	-1	8.453
Year ended 31 December 2017		
PLN	+1	(6.892)
PLN	-1	6.892
Year ended 31 December 2016		
PLN	+1	(5.299)
PLN	-1	5.299

Source: Consolidated Financial Statements.

Credit risk

Transactions effected by the Dino Group are settled mainly in cash. Credit risk pertains to the only franchisee with whom the Group has been cooperating for many years, and supplier distribution support transactions. Since distribution support services pertain to entities who are at the same time the Dino Polska Group's suppliers and buyers, the credit risk is insignificant.

Liquidity risk

The Dino Polska Group monitors its financial liquidity using a periodic liquidity monitoring tool. A schedule of funds, together with maturity dates (cash, receivables, other financial assets) and regular repayment of liabilities, makes it possible to forecast cash flows.

To maintain continuity of payments the Dino Polska Group flexibly uses different sources of financing, such as bank loans, including long-term financing and overdraft facilities, bonds and finance leases.

4.11. Significant contracts, loans, borrowings, guarantees and sureties

Contracts significant for the business

In accordance with the cost plans for the development of distribution center infrastructure to be incurred in 2017-2019, as presented in the Company's issue prospectus in 2017, in 2018 the Company entered into the following contracts:

- contracts for the construction of a new distribution center in Rzeszotary near Legnica. The construction project was partially put into use in Q4 2018. It is scheduled to be completed in 2019.
- contract for the construction of a distribution center in Wolbórz near Piotrków Trybunalski, to which the current distribution center, operating in a leased building in Piotrków Trybunalski, will be relocated. The Company expects to complete this construction project in 2019.

To the Company's best knowledge, there are no agreements that are significant for the issuer's operations concluded between the Company's shareholders.

Loans and borrowings

In 2018, the Company or its Subsidiaries entered into the following loan agreements.

Date of agreement	Company	Bank	Type of loan	Amount	Interest rate	Currency	Date of repayment
15.01.2018	Dino Krotoszyn	PKO BP SA	investment	6,173,788.70	WIBOR 1M + margin	PLN	24.10.2024
03.07.2018	Dino Polska	ING Bank Śląski	investment	50,000,000.00	WIBOR 1M + margin	PLN	02.07.2026
09.08.2018	Dino Polska	Bank Millennium	revolving	20,000,000.00	WIBOR 1M + margin	PLN	08.08.2021
09.08.2018	Dino Polska	Bank Millennium	investment	40,000,000.00	WIBOR 1M + margin	PLN	08.08.2023
03.10.2018	Dino Polska	Bank Handlowy	revolving	20,000,000.00	WIBOR 1M + margin	PLN	01.10.2021
19.11.2018	Agro Rydzyna	BGŻ BNP Paribas	overdraft	3,000,000.00	WIBOR 1M + margin	PLN	13.11.2020
19.02.2018	Dino Polska	Santander Bank	investment	74,239,232.00	WIBOR 1M + margin	PLN	18.02.2023
24.10.2018(annex)	Dino Polska	PKO BP SA	overdraft	50,000,000.00	WIBOR O/N + margin	PLN	28.10.2019
08.10.2018 (annex)	Dino Polska	mBank	overdraft	3,000,000.00	WIBOR 1M + margin	PLN	08.10.2019
28.06.2018 (annex)	Dino Polska	ING Bank Śląski	overdraft	20,000,000.00	WIBOR 1M + margin	PLN	14.04.2020

Moreover, Dino Polska S.A. granted the following loans to its Subsidiaries in 2018.

Date	Company	Amount	Currency	Interest rate	Date of maturity
12.02.2018	CWN 4	900,000.00	PLN	4%	12 months
14.02.2018	Dino Południe	147,600.00	EUR	4%	12 months
12.03.2018	CWN 5	400,000.00	PLN	4%	12 months
13.03.2018	Dino Południe	467,400.00	EUR	4%	12 months
29.03.2018	Dino Południe	3,000,000.00	PLN	4%	12 months
03.04.2018	CWN	2,000,000.00	PLN	4%	12 months
11.04.2018	Dino Południe	3,000,000.00	PLN	4%	12 months
30.04.2018	Dino Południe	900,000.00	PLN	4%	12 months
07.05.2018	Dino Południe	2,000,000.00	PLN	4%	12 months
15.05.2018	Dino Południe	3,000,000.00	PLN	4%	12 months
18.05.2018	Dino Oil	4,000.00	PLN	4%	12 months
11.06.2018	Dino Południe	7,000,000.00	PLN	4%	12 months
20.06.2018	Dino Oil	3,000.00	PLN	4%	12 months
25.06.2016	CWN 5	400,000.00	PLN	4%	12 months
02.07.2018	Dino Południe	2,000,000.00	PLN	4%	12 months
10.07.2018	Dino Południe	5,000,000.00	PLN	4%	12 months
31.07.2018	CWN 5	800,000.00	PLN	4%	12 months
02.08.2018	Dino Południe	8,000,000.00	PLN	4%	12 months
23.08.2018	Dino Południe	3,000,000.00	PLN	4%	12 months
30.08.2018	Dino Południe	5,000,000.00	PLN	4%	12 months
11.09.2018	Dino Południe	1,500,000.00	PLN	4%	12 months
24.09.2018	Dino Południe	1,000,000.00	PLN	4%	12 months
01.10.2018	Dino Południe	2,000,000.00	PLN	4%	12 months
04.10.2018	Dino Południe	10,000,000.00	PLN	4%	12 months
12.10.2018	Dino Południe	1,000,000.00	PLN	4%	12 months
15.10.2018	Dino Południe	500,000.00	PLN	4%	12 months
05.11.2018	Dino Południe	1,000,000.00	PLN	4%	12 months
09.11.2018	Dino Południe	5,000,000.00	PLN	4%	12 months
13.11.2018	Dino Południe	1,000,000.00	PLN	4%	12 months
14.11.2018	Dino Południe	7,000,000.00	PLN	4%	12 months
16.11.2018	CWN	8,000,000.00	PLN	4%	12 months
20.11.2018	Dino Oil	3,000.00	PLN	4%	12 months
28.11.2018	CWN	1,000,000.00	PLN	4%	12 months
29.11.2018	Dino Południe	1,000,000.00	PLN	4%	12 months
03.12.2018	Dino Południe	1,000,000.00	PLN	4%	12 months
05.12.2018	Dino Południe	1,000,000.00	PLN	4%	12 months
10.12.2018	Dino Południe	6,000,000.00	PLN	4%	12 months
18.12.2018	CWN	1,500,000.00	PLN	4%	12 months

Sureties, guarantees and off-balance sheet agreements

In 2018, Dino Polska S.A. granted a surety for PLN 24.75 million to its subsidiary Dino Krotoszyn. The surety serves as collateral for the loan agreement entered into by Dino Krotoszyn and PKO BP for a term ending on 24 October 2024.

In 2018 Dino Polska received the following sureties from its Subsidiaries:

- (i) Civil-law surety for PLN 50 million from CWN 1, CWN 2, CWN 3, CWN 4, CWN 5, CWN 6, CWN sp. z o.o. serving as collateral for the loan agreement with ING Bank Śląski SA
- (ii) Civil-law surety for PLN 20 million from CWN 2, CWN 3, CWN 4, CWN 5 and CWN 6 serving as collateral for the loan agreement with Bank Millennium SA
- (iii) Civil-law surety for PLN 74 million from CWN 1, CWN 2, CWN 3, CWN 4, CWN 5, CWN 6 and CWN sp. z o.o. serving as collateral for the loan agreement with Santander Bank SA
- (iv) Promissory note surety from CWN 1, CWN 2, CWN 3, CWN 4, CWN 5, CWN 6, CWN sp. z o.o., Agro Rydzyna and Dino Krotoszyn for the renewal of an overdraft facility for PLN 20 million from ING Bank Śląski SA

In 2018, Dino Polska did not receive any guarantees.

Guarantees issued by Dino Polska in 2018

date	type	counterparty	amount	date of expiry
10.10.2018	lease guarantee	Logistic City Spółka z ograniczoną odpowiedzialnością Spółka Komandytowa with its registered office in Piotrków Trybunalski	PLN 142,000	02.10.2019
10.10.2018	lease guarantee	Logistic City Spółka z o.o. sp.k.	PLN 2,700,000	02.10.2019
04.04.2018	payment guarantee	Leszczyńska Spółdzielnia Mieszkaniowa in Leszno	PLN 20,000	22.03.2019
23.03.2018	payment guarantee	Zott Polska Sp. z o.o.	PLN 4,000,000	21.03.2019
23.03.2018	good performance bond	Totalizator Sportowy sp. z o.o.	PLN 10,000	10.09.2019

4.12. Other information

Due to the profile of the conducted activities, the Dino Polska Group has not adopted a research and development strategy and does not fund research and development activities.

The Company does not publish financial forecasts.

5. RISKS AND THREATS

Described below are the risk factors and threats the materialization of which might have an adverse impact on the results and operations of the Company and the Dino Group. As at the date of this Report, the Company's Management Board does not see any significant grounds that might indicate a significant likelihood of the occurrence or intensification of these risks and threats, and the probability of their materialization in the foreseeable future is considered low.

The Company has exercised the highest degree of diligence in order to properly identify significant risks and threats, yet it cannot be claimed with absolute certainty that all risks have been correctly recognized or that their impact on the business and performance of the Company and the Dino Group has been accurately estimated. Some of the risks are described in the section "Non-financial report of Dino Polska and the Dino Polska Group – Risks".

Risk associated with macroeconomic conditions

Changes to the general economic situation, which are beyond Dino Polska Group's control, may result in a decline of the consumer demand, which may have adverse impact on the Dino Polska Group's activities

The Dino Polska Group conducts activity in the grocery retail market in Poland, which depends on the demand generated by consumers. The demand generated by consumers is the derivative of a number of factors being beyond Dino Polska Group's control, in particular the macroeconomic situation and political conditions. Change of the economic factors in the market in Poland, in the EU or globally, including changes in the GDP growth rates, total inflation, deflation of food prices, increase of the unemployment rate, decline of salaries or decrease of expenditures on consumption and investments, may have adverse impact on the Dino Group or the sector in which the Dino Polska Group operates, including the sales revenues generated by the Dino Group or its costs.

Deterioration of the general economic situation in Poland and Europe as a result of the aforementioned economic factors or for political reasons or downgrading of Poland's rating, which have occurred in the past, may have adverse impact on the activities of the Dino Polska Group, its financial standing, results or prospects. The above factors may result in, among others, decline of demand for the Dino Polska Group's products, limited access to external financing, difficulties on the part of suppliers, customers and other entities with which the Dino Polska Group cooperates, which, in turn, may translate into difficulties or inability to perform their obligations towards the Dino Polska Group and thus have negative impact on the activities of the Dino Polska Group, its financial standing, results or prospects.

Risks associated with continuation of the organic store rollout

The Dino Polska Group may not be able to implement its store rollout strategy

Dino Polska Group's strategy provides for, among others, further growth through continuation of fast organic growth of the store network and the accompanying logistic infrastructure. Successful implementation of the Dino Polska Group's development strategy depends, among others, on the economic conditions, access to external financing, absence of unfavorable changes in the regulatory environment, finding and acquisition (or to a lesser, supplementary extent, lease or rental) of real estate on acceptable commercial terms which satisfy the requirements set by the Dino Group, efficient construction and launch of new stores, employment, training and retention of store personnel, and integration of the new stores with the supply chain operating in the Dino Polska Group in a manner ensuring high profitability.

In 2017-2018, the Dino Polska Group was able to finance its capital needs primarily from operating cash flows, bank loans, bonds and finance leases. If the operating cash flows drop below the assumed levels or new financing is not available to the Dino Polska Group (for reasons attributable to the Dino Polska Group or the debt market in general), the Dino Polska Group may not be able to implement its development plans, which may have adverse impact on the activities, financial standing and results of the Dino Polska Group or prospects. Slowdown of the Dino Polska Group's expansion may also impact the ability to continue to improve the negotiated terms with

suppliers and increase the profit margin which the Dino Polska Group currently benefits from thanks to the fast growth rate.

Even if the Dino Polska Group manages to open new stores in line with the adopted strategy, the newly opened stores may not break even within the originally assumed timelines or at all, or the increase in sales revenues or sales revenue in the existing store network (LFL) may turn out lower than assumed by the Management Board, and the Dino Polska Group may be exposed to incurring additional, unexpected costs associated with opening new stores. In addition, the analysis carried out by the Dino Group before opening a given store may turn out incorrect among others due to lower than expected customer traffic in the vicinity of the store or unexpected circumstances. Additionally, if the Dino Polska Group opens new stores in areas where it already conducts activities, it is possible that the revenues generated by the stores opened in the area earlier will drop.

The occurrence of these circumstances may exert an adverse impact on the Dino Polska Group's business, its financial standing, performance or prospects.

Possible delays in construction of new stores or increase in store construction costs

Over the past three years the Dino Polska Group opened on average 160 new stores per annum. The majority of Dino Polska Group stores have been built by the Dino Group from scratch on its own land. To build a new store on a property owned by the Dino Group, the Dino Polska Group is obligated to obtain the consents from different administrative bodies. It cannot be ruled out that in the future the time needed to obtain the administrative permits may be extended. If the Dino Polska Group is not able to finalize the administrative proceedings as efficiently as in the past, in particular in the case of protests of the local communities or owners of the properties neighboring with the properties owned by the Dino Polska Group, it is possible that there will be delays which affect the whole new store launch process in the future. Obtaining the permits is associated with the requirement to furnish administrative bodies with a large number of documents, which, if it is not possible for the Dino Group to collect them at the required time, may result in extending the duration of the proceedings. In addition, the decisions issued by administrative bodies may be sued, which may additionally delay the investment process, as it has happened in the past. As a result of the above, the planned opening of a new store may be delayed or cancelled.

Also the average construction cost of a new store may increase, e.g. in the event of an increase in the prices of construction labor or materials or a change in the applicable construction standards.

More frequent than assumed occurrence of such circumstances may have adverse impact on the Dino Polska Group's ability to implement its strategy and may have adverse impact on the activities of the Dino Polska Group, its financial standing, results or prospects.

The market on which the Dino Polska Group conducts operations is characterized by high competition, and the pressure from the competitors may have adverse impact on the margins or growth prospects

The market on which the Dino Polska Group conducts operations is characterized by high competition due to the presence and constant growth of big organized retail chains, including supermarkets, discount stores and convenience stores. Changing consumer preferences towards shopping in stores located near the place of residence and increasing consumer demand spur many players to develop a network of medium-sized grocery stores located near the consumers' place of residence, which increases the competition in the market segment where the Dino Polska Group operates.

The Dino Polska Group competes in particular with discount chains, convenience stores and proximity supermarkets operated by both local and international grocery retailers having an extensive store network in Poland and frequently having a much bigger scale of business than the scale of the Dino Polska Group's operations. There is no certainty that the Dino Polska Group will be able to effectively compete with its existing or future competitors.

Players conducting competitive activity may have higher purchasing power and financial, distribution, technical, personal or marketing resources, giving them competitive advantage over the Dino Polska Group. Retail chains compete mainly in terms of location, prices and quality of the products and services and diversity of the product assortment. Dino Polska Group's ability to compete with other players depends partly on the continuing attractiveness of the store format and development of new stores in attractive locations, which is the area where the Dino Polska Group faces increasing competition.

Players conducting competitive activity develop their business, inter alia, based on the franchise model, which supports store rollout with significantly lower capital expenditures than the development model adopted by the Dino Polska Group and allows them to incorporate into the network existing stores that have their own customer base. One cannot rule out that in the future the development of franchise networks will significantly increase the competitiveness of the existing stores in the locations in which the Dino Polska Group will want to grow, which will limit the ability to grow and may have an adverse impact on the activities, financial standing and results of the Dino Polska Group.

The competitive pressures resulting from the aforementioned or other factors, including the competitors' possible decision to change the format of their stores to a format similar to the one used by the Dino Group, may lead to weakening the Dino Polska Group's growth rate, stagnation or reduction of the Dino Polska Group's market share and reduction of its profitability, which may have adverse impact on the activities, financial standing and results of the Dino Polska Group.

The retail grocery market in Poland is fragmented, and a large number of retail sellers have a relatively small market share. Mergers and acquisitions in this market lead to consolidation of the sector. In the case of consolidation of the Dino Polska Group's competitors which will allow them to leverage the economies of scale in their operations, there may a stagnation or loss of the Dino Polska Group's shares in the market (in absolute or relative terms) in favor of entities participating in such consolidation. Increased competition from bigger competitors who have stronger bargaining power with suppliers and higher financial resources may also lead to decrease and stagnation of the Dino Polska Group's growth rate or decrease of its profitability, which may have adverse impact on the activities, financial standing and results of the Dino Polska Group.

Risks factors related to the activity of the Group

The Dino Polska Group's IT systems playing a key role in the activities conducted by the Company may fail, may turn out insufficiently secure or insufficient to satisfy the needs of the Dino Polska Group

The Dino Polska Group manages its stores, including the sales process, inventories, logistic operations, and financial instruments and accounting instruments through different solutions provided by the information technology. These activities depend on the efficient and uninterrupted operation of the IT systems supporting their execution. As a consequence, the Dino Polska Group may carry out analyses and manage the orders for all Dino Polska Group stores, optimizing them and limiting potential losses and lost revenues – in the event of exhaustion of the inventories or failure to supply the commodities to the stores on time. The aforementioned systems also make it possible to track on an ongoing basis the profitability of each store and enable the Dino Polska Group to quickly respond in all emergency situations. In addition, the IT systems support the distribution of products to each store in accordance with the guidelines and plans prepared by the Company's head office.

Considering the above circumstances, the activity of the Dino Polska Group and its development depends on efficient and uninterrupted operation of the IT systems. Hence it is key to ensure a correct maintenance process for the existing IT systems, their security, including the data constituting trade secret or personal data, and deploy optimum solutions at the right time which will ensure stable and uninterrupted operation of these systems. The Company may not guarantee that in the future it will be able to ensure efficient operation of the IT systems, including through their improvement, which may threaten the Dino Polska Group's ability to manage the store network roll-out, including provision of inventories management services or product supply services for the stores, which may result in disruptions in their ongoing activities.

The Dino Polska Group's operating systems may be susceptible to damages and disruptions as a result of actions associated with cybercrime, human error, natural disasters, power cuts, computer viruses, refusal to provide services, breach of security principles, limitation of access to the internet or similar events. In addition, third parties or employees may try to obtain access to the Dino Polska Group's systems to its detriment and the Dino Polska Group may not have the possibility to protect its systems against all attacks. If such attacks occur, the problems that the Dino Polska Group will have to face include theft or destruction of data, in particular commercial, financial and product information, which may be harmful to the Dino Polska Group in commercial terms and may result in loss of reputation.

System failures and the related delays may also cause unexpected sales disruptions, loss of inventories, reduced level of services and, as a consequence, affect customer satisfaction and harm Dino Polska Group's reputation.

The aforementioned circumstances may have material negative impact on the activities, financial standing and results of the Dino Polska Group.

Change of the terms of purchase of the goods offered by the Dino Group may have material adverse impact on the activity of the Dino Polska Group

The prices of the goods purchased by the Dino Group and then offered to clients, in particular fresh products, are subject to regular changes and are the biggest part of the Dino Polska Group's cost of sales. The prices of the goods may increase significantly as a result of local or global events beyond the control of the Dino Polska Group, including unfavorable weather conditions (including poor crops or animal diseases), demand and supply growth rate, disruptions in trade or other factors.

Although the Dino Polska Group has a diversified supplier base, one cannot rule out that some suppliers, as a result of higher production costs or to increase their profits, will decide to increase the prices of the goods sold to the Dino Polska Group. The Dino Polska Group, in turn, may try to pass these higher purchase prices in full or in part on to its customers to maintain the margin of its gross profit on sales. However, increase of the retail prices by the Dino Group to cover the increase of the costs may turn out impossible, especially if, due to economic conditions, the Dino Polska Group's customers are not able or do not want to incur the cost of such increases or if the Dino Polska Group's main competitors decide not to introduce such price increases or decide to reduce their prices. As the competition in the Polish grocery retail market grows, unilateral price increases or failure to keep up or slow reaction to price reductions as compared to competitors may lead to decline of sales, reduction of customer traffic, loss of market share or other unfavorable effects. As a result, the Dino Polska Group may be significantly limited as regards its pricing policy by the actions taken by its competitors, and thus an increase of the prices by suppliers or their reduction by the competitors may have material adverse impact on the activities, financial standing and results of the Dino Polska Group.

The Dino Polska Group sources most goods directly from producers or their main representatives. The large and constantly growing volumes of orders placed with suppliers accrue benefits in the form of economies of scale. They enable the Dino Polska Group to make purchases on favorable terms that may should improve steadily as the Dino Polska Group's sales network expands.

The loss of good relations with numerous suppliers of the Dino Polska Group, termination of the supply agreements by the suppliers of the Dino Polska Group or change of the commercial terms on which the goods are supplied to the Dino Polska Group to less favorable ones could reduce the competitiveness of the Dino Polska Group in terms of the prices offered and the product assortment and have adverse impact on the profitability of the Dino Polska Group, which may have negative impact on the activities, financial standing and results of the Dino Polska Group.

Distribution of the products to the Dino Polska Group's stores may be disrupted

The products offered in the stores operated by the Dino Group are currently supplied by four distribution centers located in Krotoszyn, Piotrków Trybunalski, Jastrowie and Rzeszotary. Fresh groceries, including meat products (coming from the meat processing plant run by Agro-Rydzyna), are supplied to shops daily (except for Sundays), and the revenues from fresh groceries accounted for 38% of the Dino Polska Group's sales revenues in 2018. Dry groceries and beverages and non-grocery products are delivered on average two or three times a week, depending on the turnover of the store.

Any interruptions in the activity of the distribution centers may result in disruption of the operation of the Dino Polska Group's supply chain or may cause significant losses. In the event of disruption of one or more distribution centers as a result of events being largely beyond the control of the Dino Polska Group, in particular due to weather conditions, occurrence of fortuitous events, such as natural disasters, strikes or acts of terror or other acts of god, e.g. fire, as well as lack of deliveries or delays in supply of electricity or raw materials, which may be caused among others by occurrence of fortuitous events, a significant disruption of the functioning of the Dino Polska Group's supply chain is possible, in particular lack of deliveries of fresh products, and incurring significant losses.

Potential technical failures or software errors in any distribution center may negatively impact the Dino Polska Group's profitability and directly affect its financial results. There is a risk that the Dino Polska Group will be not able to resume or restart its operations due to the aforementioned circumstances sufficiently quick, and its insurance cover may be insufficient to cover the losses in assets or revenues incurred. Thus, the Dino Polska Group's core business is directly exposed to the operational risk resulting from the need for the Dino Polska Group's distribution centers to ensure continuity of deliveries, a steady stream of goods and highly efficient management of crisis situations resulting from technical and software failures. In addition, there is no certainty that the security systems in place in the Dino Polska Group and prevailing prevention measures comprising all organizational and technological levels, including occupational safety and health and protection against failure, will completely eliminate the risk of failure and ensure continuity of the distribution processes.

All of the aforementioned events resulting in short- or long-term breaks in the activities of the Dino Polska Group due to the necessity to carry out repairs or rectify their effects, such as technical failures or software failures in any of the Dino Polska Group's distribution centers, may have negative impact on the activities, financial standing, results or prospects of the Dino Polska Group and the price of its Shares.

Dino Polska Group may not be able to efficiently manage its inventories

The Dino Group conducts retail sales and accordingly it must secure frequent deliveries of products to its network of stores. Accordingly, the Dino Polska Group is required to maintain a certain level of inventories at its distribution centers in order to effectively secure the supply of products to the entire store network without significant delays.

The Dino Polska Group maintains inventories for the purposes of deliveries to its stores based on the experience of its relevant supply teams that have a broad range of IT solutions at their disposal. However, the Dino Polska Group cannot rule out a possibility that, a result of an incorrect assessment by a supply team, a failure of the IT system, a sudden change in consumer preferences or other factors beyond control of the Dino Polska Group, the level of deliveries will be insufficient or excessive and the Dino Polska Group will not be able to sell its surplus inventories.

Consequently, the Dino Polska Group may not be able to secure sufficient quantities of the products that are offered in its stores or, in case of surplus inventories, to sell its products, which may adversely affect the Dino Polska Group's revenue or increase the level of its losses, which may in turn have an adverse effect on the activities, financial standing and results of the Dino Polska Group.

Ineffective identification and failure to satisfy consumer preferences may have a negative effect on the activities of the Dino Polska Group

Consumer demand for stores in the format adopted by the Dino Group and offering a similar product range results from consumer trends, consumer needs and preferences. Consumer preferences on the market and in the geographical area where the Dino Polska Group operates or intends to operate may change and the store format adopted by the Dino Polska Group or the products it offers will no longer be attractive to consumers, for example as a result of changes in lifestyles and dietary preferences or as a result of national or local economic conditions. Also, local conditions may result in customer preferences varying from region to region as the Dino Polska Group continues to expand into new areas. Customers can make most of their purchases on the Internet, which is a sales channel not currently used by the Dino Group. Changes in customer preferences may adversely affect traffic and purchases in the Dino Polska Group stores. If the Dino Group's management fails to identify and adapt to changes in consumer preferences quickly and efficiently, which includes Internet sales, the revenues and profitability of the Dino Polska Group may decline, which in turn may adversely affect the activities, financial standing and results of the Dino Polska Group.

An increase in costs could have a material adverse effect on the activity of the Dino Polska Group

Although the Dino Polska Group determines its planned costs partly on the basis of expected future revenues on sales, a significant part of the costs by type is fixed or may increase and cannot be adjusted quickly if the future revenues of the Dino Polska Group prove to be lower than expected or if the increase in costs is faster than the increase in revenues or if unexpected costs arise. Accordingly, if revenues from sales of the Dino Polska Group in any period are significantly lower than expected, it may not be possible to adjust the main costs by type in an appropriate proportion and quickly enough, which may reduce the profitability of the Dino Polska Group.

In addition to the cost of goods and materials sold, which is the largest cost item by type in Dino Polska Group, the Group's operating and financial results are also affected by other material costs, the most important of which are costs related to: consumption of materials and energy, employee benefits and external services.

The increase in the costs of the Dino Polska Group described above depends largely on factors beyond the control of the Dino Polska Group. The factors that may boost the Dino Polska Group's costs by type or capital expenditures for real estate purchases and new store construction include among others: inflation, changes in the fiscal system (especially higher taxes), transport costs, higher oil prices, increases in minimum wages (which will affect the average cost of labor in the Dino Polska Group and may affect the cost of services provided by third parties), changes in government policies, changes in the Labour Code and other laws and regulations.

An increase in costs may have a direct impact on the results and financial standing of the Dino Polska Group. The Dino Polska Group cannot give an assurance that it will be possible to cover higher costs with higher revenues from sales. If it proves impossible then it may have an adverse effect on the activities, financial standing and results of the Dino Polska Group.

Dino Polska Group may not be able to repay its financial debt, provide financing on favorable terms, or lose strategic assets if it defaults on the terms of financing

To finance its activity, the Dino Polska Group uses, among others, external funding that consists of loans and borrowings from financial institutions, bonds issued and finance leases. The Management Board cannot guarantee that the Dino Polska Group will be able to finance its operations on favourable terms and, once it has obtained funding, that it will be able to pay interest and principal or perform other obligations under the financing agreements. If the Dino Polska Group is unable to obtain additional funding in accordance with its expectations, it may be forced to change its strategy, limit growth, and as a result the pace of achieving its strategic objectives may be slower than expected.

In the past, the Dino Polska Group financed its capital expenditures using mainly the resources generated on operating activities, from bank loans and finance leases. If the net cash flows from operating activity drop below the planned levels or the Dino Polska Group fails to secure new financing (for reasons attributable to the Dino Polska Group or the market in general), the Dino Polska Group may not be able to implement its development plans, which may adversely affect the activities of the Dino Polska Group, its financial standing and results or prospects and the price of its Shares. Slower growth of the Dino Polska Group may also affect its ability to further improve the commercial terms of cooperation that it negotiates with its suppliers and, consequently, the financial standing of the Dino Polska Group.

Additionally, the property, plant and equipment of the Dino Polska Group, including the properties on which it operates its stores and those intended for the construction of new stores, as well as the properties on which the distribution centers are located, have been encumbered with numerous security interests (e.g. mortgages). In the event that the Dino Polska Group is unable to pay its liabilities under its financing agreements, the lenders will be able to satisfy themselves from its assets, which will result in the loss of the assets on which the security interests are created. In the case of the properties intended for the construction of new shops, this may result in an inability to open new stores and in the case of the properties on which the stores are already built, it will result in the loss of existing stores.

Moreover, the financing agreements concluded by the Dino Group contain many standard obligations, including covenants to maintain certain financial ratios, not to allow third party rights to be established on assets, cross-default clauses or change of business clauses. A breach of covenants, in particular as a result of a change in accounting policies or any other obligation, may result in a default on financing agreements, a negative change in the terms of financing granted or, if a proper waiver of any covenant is not obtained from the financing entities, they may refuse to continue the financing and may demand repayment of the extended loans, declare them due and payable or satisfy themselves from Dino Polska Group's assets, which will be lost.

Each of the above events may have negative impact on the activities of the Dino Polska Group, its financial standing and results or prospects and the price of its Shares.

Dino Polska Group's insurance cover for its operations may not be sufficient or available.

The Dino Polska Group's insurance policies may not cover all the losses that the Dino Polska Group may incur in the course of its business, and certain insurance policies may not be available on economically justified terms.

The Dino Polska Group's insurance cover may not be sufficient to cover its losses or to satisfy claims raised against the Group. Insurance cover may also not be available in this respect. Additionally, the insurer may, in situations specified in the relevant insurance agreements, refuse to satisfy claims against the Dino Polska Group or cover the losses it suffered. There may also be risks that are not insurable or where insurance is not economically justified or, in the opinion of Dino Polska Group, the proposed terms and limits of insurance are not sufficient to minimize the possible high loss coverage costs. Therefore, the Dino Polska Group may not be fully indemnified under its business loss insurance contracts and the insurance cover may be insufficient.

In addition, the insurance policies held by the Dino Group are subject to limits on the amount of insured claims. Therefore, the compensation paid under these policies may be insufficient to cover all the damages incurred by the Dino Group in full. If any loss occurs that is not covered by insurance or exceeds the insurance limits, the Dino Polska Group will have to cover the loss in whole, or in the part exceeding the insurance limit, with its own resources. There can be no assurance that in the future there will be no such material losses not covered by insurance or exceeding the insurance limit.

In addition, the premiums paid by the Dino Group for its insurance policies may increase significantly, for example following significant insured losses and subsequent changes in the historical claims data of the Dino Polska Group or generally of the market sectors where the Group operates. It also cannot be ruled out that in the future the Dino Polska Group may not be able to obtain insurance cover at the current level or on satisfactory terms.

As a result, the Dino Polska Group may have insufficient protection against losses that it could suffer in the course of its business. Any uninsured loss or loss exceeding the sums insured may have an adverse effect on the activities, financial standing and results of the Dino Polska Group.

Risks related to regulatory environment

Unclear interpretation of Polish law or change of law may adversely affect the Dino Group.

The activities of the Dino Polska Group are subject to various regulations in Poland (among others in respect to food production, fire and safety regulations, provisions of labor law and environmental law) These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations.

Also, a significant number of laws and regulations relevant to the activities of the Dino Polska Group have been changed and may change in the future (such as e.g. restrictions on the sale of tobacco products). Accordingly, there is no assurance that the regulations applicable to the activities of the Dino Polska Group, in particular the environmental, health and safety rules or trade restrictions in Poland and the EU, will not become more stringent. This could lead to a significant slow-down of the growth and decline of revenues of the Dino Polska Group which would not be covered by a possible decrease of operating expenses (among others service costs).

Since there is no clarity as to future regulations, in the future the Dino Polska Group may be obligated to incur significant costs or capital expenditures to adapt the existing installations of the stores, distribution centers or the meat processing plant operated by Agro-Rydzyna to the new requirements. Additionally, the facilities operated by the Dino Group may be subject to inspections that are more stringent than the current ones.

Instability of the legal system and regulatory environment increases the risk of incurring significant additional and unforeseen costs, as well as the costs of adjusting the operations to the changing legal environment in the context of the activities conducted by the Dino Polska Group, which may adversely affect the Dino Polska Group's activities, financial standing, growth prospects and results or the market price of the Shares.

Implementation of the retail sales tax may adversely affect the Dino Group

Introduction of a retail sales tax has been considered in Poland in the past. On 1 September 2016, the Act of 6 July 2016 on Retail Sales Tax ("**Retail Sales Tax Act**") came into force in Poland. Under the Retail Sales Tax Act, the Company was required to pay retail tax of 0.8% of its monthly revenues in excess of PLN 17 million and up to 170 million, and 1.4% of monthly revenues above PLN 170 million.

On 19 September 2016, the European Commission issued an injunction suspending Poland's collection of this retail tax, which was found to breach the EU state aid rules as it gives small retailers a selective advantage over their competitors. As a result of the above, the application of the Retail Sales Tax Act was postponed to be applicable to the revenue from retail sales generated as of 1 January 2020.

Even though, as of the Report Date, the retail tax is not applicable to any of the Dino Polska Group companies, in 2020 it may, in particular, result in an increase in the tax costs of the Dino Polska Group or decrease its profitability, which may have an adverse effect on the Dino Polska Group's activities, financial standing, growth prospects and results, or on the market price of Shares.

Changes in the tax law applicable to the operations of the Dino Polska Group or its interpretation, as well as changes in individual tax rulings may adversely affect the Dino Group.

The regulations of Polish tax law are complicated and change frequently. The practice of applying tax law by tax authorities is not homogeneous, while the jurisprudence of administrative courts on this subject often exhibits material differences. There can be no assurance that the tax authorities will not issue a different tax ruling in regard to the tax regulations applied by the Company or Dino Polska Group companies, which could be unfavourable to the Company or Dino Polska Group companies. In particular, the Dino Polska Group cannot give an assurance that, as tax avoidance provisions are introduced that use general clauses and the interpretation and application of which will be developed in practice by the tax authorities and the jurisprudence of the administrative courts, the tax authorities will assess the tax effects of operations conducted by the Company or by the Dino Polska Group companies differently than the Group does. This may apply in particular to restructuring transactions, which generate a tax advantage for the taxpayer, after the regulations containing a tax avoidance clause become effective. Also, there can be no assurance that the individual tax rulings obtained and applied by the Company or the Dino Polska Group companies will not change or be rendered inoperative for the same reason. The legislative practice also shows a tendency to enact legal acts in the field of tax law that may have retroactive effect, which may influence the amount of tax settlements.

There is also a risk that, as new regulations and the new retail sales tax are implemented or VAT increases, the Company or the Dino Polska Group companies will have to undertake adaptive efforts, caused by the circumstances, which may lead to considerable expenses of adaptation to the new regulations or possibly to a decrease in the level of sales and revenues of the Dino Polska Group (if VAT increases). On account of the above, there is no assurance that the tax authorities will not challenge the correctness of tax settlements made by the Company or the Dino Polska Group companies in respect of tax liabilities for which the period of limitation has not expired and the determination of tax arrears of these entities, which may have an adverse effect on the activities, financial standing, results of the Dino Polska Group and on the price of Shares.

6. CORPORATE GOVERNANCE

6.1. Representation on the application of corporate governance

Dino as a company listed on the regulated market run by the Warsaw Stock Exchange is subject to the corporate governance principles defined in the document entitled Best Practices of WSE Listed Companies 2016. The document is available at the Stock Exchange website (<http://www.gpw.pl>) in the section devoted to corporate governance of listed companies.

The Best Practices of WSE Listed Companies 2016 is a set of recommendations and rules of proceeding concerning in particular the governing bodies of listed companies and their shareholders. If a principle is not permanently implemented by a listed company or it has been incidentally breached, the listed company is obligated to notify that fact in the form of the current report. Moreover, a listed company is obliged to attach to the annual report a report containing information on the scope of its application of the Best Practices of WSE Listed Companies 2016 in a given financial year.

Dino observes most of the recommendations and standards included in the Best Practices of WSE Listed Companies 2016, except for the following:

- Detailed standard I.Z.1.3. – to the extent it refers to the division of duties and responsibilities among members of the management board drawn up according to standard II.Z.1.
The standard is not applied in connection with the fact that the Company does not apply detailed standard II.Z.1.
- Detailed standard I.Z.1.20 – to the extent it refers to an audio or video recording of the shareholder meeting.
The Company notes that if the shareholders: (i) show interest in audio or video recordings of the Shareholder Meeting, and (ii) notify the Company of such interest then the Company will comply with the shareholders' expectations in this respect and will publish an audio or video recording of the shareholder meeting on its website.
- Recommendation II.R.2 – to the extent it refers to diversity of the corporate bodies in terms of gender.
The Company does not ensure an equal participation of women and men in the Management Board or the Supervisory Board. As at the Report Date, the Management Board consists of two people and the Supervisory Board consists of five people and none of them are women. The Company supports this recommendation and has a policy in place under which the Company employs competent, creative individuals with appropriate professional experience and education. At the same time, the Company has no effect on the composition of its corporate bodies.
- Detailed standard II.Z.1. – to the extent it refers to the internal division of responsibilities for individual areas of the company's operation among members of the management board.
The Company does not have in place a formal division of duties and responsibilities among Management Board members. The Company believes that such a solution is appropriate and adequate to the current stage of development and scale of the Company's operations and ensures effective management.
- Recommendation IV.R.2. - to the extent that it refers to shareholders' participation in shareholder meetings using IT tools, in particular bilateral mutual real-time communication, participating in discussions during the meeting for shareholders who are physically absent at the venue of the shareholder meeting.
The Company points out that providing the necessary technical infrastructure will require costs and other resources of the Company that are disproportionate to the potential interest of its shareholders. Therefore, the Company does not plan to conduct a shareholder meeting using electronic means of communication.
- IV.Z.2. - to the extent it relates to the provision of publicly available broadcasts of shareholder meetings in real time.
The Company does not plan to broadcast the shareholder meeting in real time because of the additional costs and organizational resources it would have to devote to this undertaking. Nevertheless, the

Company will consider transmitting the Shareholder Meeting in real time, if this is requested in the future by the shareholders.

In addition, with regard to recommendation I.R.2. Dino reports that it does not conduct any sponsoring activity. Charitable activity is conducted by the Dino Najbliżej Ciebie Foundation, which has been holding the status of a public benefit organization since October 2015. The foundation aims to selflessly help people in need, especially individuals suffering from diseases and children.

No formal diversity policy is in operation in the Company. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and experience, notwithstanding their age, gender, education and other attributes. The Company's Management Board is guided by these very same criteria when it makes staffing decisions pertaining to key managers. The Company does its utmost to ensure that all employees have equal opportunities in terms of professional development and promotions.

6.2. Internal control and risk management system in the process of preparation of financial statements

The Parent Company's separate financial statements are prepared in accordance with:

- Accounting Act of 29 September 1994 (consolidated version: Journal of Laws of 2017, item 2342, as amended),
- internal accounting procedures based on the accounting policies in effect in Dino Polska S.A.,
- applicable law and provisions of the articles of association of Dino Polska S.A.

The consolidated financial statements are prepared in accordance with the International Financial Reporting Standards as endorsed by the European Union – they include adjustments that are not recognized in the accounting ledgers of all the Dino Polska S.A. Group companies, which are made in order to restate the separate financial data of the Parent Company and Dino Polska S.A. Group Subsidiaries to ensure compliance with the IFRS.

The process of preparation of financial statements is covered by an internal control and risk management system, which contributes to credibility and accuracy of financial reporting, and compliance with the law and internal regulations. The internal control system entails:

- control activities performed by employees of the Dino Polska S.A. Group companies as part of their tasks and duties (the current allocation of duties rules out the possibility of one employee performing activities related to the execution and documentation of business operations from the beginning to the end)
- functional control performed by employees in managerial positions who oversee the organizational cells reporting to them,

Risk management in the process of preparation of the financial statements is based on risk identification and assessment combined with defining and taking actions aimed at minimizing or eliminating the risks. The Chief Accountant and the Management Board Member responsible for Finance to whom the financial and accounting teams report oversee the process of preparing the financial statements of the Parent Company and the consolidated financial statements of the Dino Polska S.A. Group. The risk management process starts already at the Group's lowest levels, so as to ensure fulfillment of the adopted objectives. Risk management in the Dino Polska S.A. Group is a process overseen by the Management Board and key managerial personnel.

Accuracy of preparation of the financial statements is also verified by Supervisory Board members as part of the duties of the Audit Committee entrusted in the Supervisory Board. To confirm the consistency of the data contained in the financial statements with the facts and records in the accounting ledgers kept by the Company, the financial statements are audited by a statutory auditor who issues an opinion in this respect. All actions taken by the company are aimed at ensuring compliance with the provisions of law and the facts, and early identification

and elimination of potential risks so that they do not affect the credibility and accuracy of presented financial data.

6.3. Share capital, shares and shareholders of Dino Polska

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The shares are not preferred in terms of voting rights, dividend rights or distribution of assets in the case of liquidation of the Company. There are no Shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino's shares (with the exception of the undertakings not to dispose of the Shares made in the public offering, as described below). As of the Report Date:

- there are no Shares which do not represent the Company's share capital (do not constitute a stake in the share capital),
- the Company does not hold any treasury Shares, and no Subsidiary or third party acting for or on behalf of the Company holds any Shares,
- neither the Company nor any of its Subsidiaries acquired treasury shares (of Dino Polska) in 2017,
- neither the Company's nor any Subsidiaries' capital is subject to options, and it has not been agreed, conditionally or unconditionally, that the capital of any such entities will become subject to options,
- there are no convertible securities or securities exchangeable for securities (including Shares) of the Company or securities with warrants issued by the Company, and
- the Articles of Association do not contain any provisions authorizing the Management Board to increase the Company's share capital as part of authorized capital.

Dino Polska S.A.'s shareholder structure as at the end of 2018

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ¹	50,103,000	51.10%
Other shareholders	47,937,000	48.90%

In March and April 2017, the IPO of Dino Shares was held (in accordance with the prospectus approved by the Polish Financial Supervision Authority (KNF) on 17 March 2017), as a result of which the shareholder Polish Sigma Group S.à r.l. sold all the Shares it held, representing 49% of the Company's share capital and 49% of the total number of votes at the Shareholder Meeting. The Company did not issue any new shares in the IPO.

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

At the Report Date, Szymon Piduch, President of the Management Board, held 141,000 shares. Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date.

Among the Supervisory Board members, as at the Report Date Dino shares were held by: Tomasz Biernacki (Supervisory Board Chairman) as detailed in the table above and Eryk Bajera – 19,900 shares and Sławomir Jakusz – 1,600 shares.

On 20 March 2017, in connection with the public offering of shares, Mr. Tomasz Biernacki incurred an obligation not to sell the 51% of Dino Polska shares held by him before the public offering until the expiry of the 720-day period after the first listing of shares on the Warsaw Stock Exchange, which happened on 19 April 2017. In accordance with the provisions of the applicable incentive programs, those Members of the Company's Management Board who acquired shares in the performance of their obligation to acquire the shares specified in

¹ BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 103 thousand Company shares

these programs, are required to refrain from selling those shares for a period of two years after their acquisition. The detailed provisions of the said obligations are described in the Company's prospectus, as approved by KNF on 17 March 2017.

Dino Polska Management Board and Supervisory Board Members do not hold any shares in Dino Polska's subsidiaries. The Company does not have an employee share ownership plan and hence it does not have an employee share ownership plan control system. The Company is unaware of any agreements which may result in future changes to the proportions of the Shares held by the shareholders. No other changes to the share capital took place in 2018 or up to the Report Date.

6.4. DINO Polska bonds

On 21 September 2017, the Management Board of Dino Polska adopted a resolution to establish a program for the Company to issue bonds up to the amount of PLN 500 million ("Program"). Under the Program the Company may conduct multiple issues of secured bearer bonds in electronic form (not in paper form) denominated in Polish zloty. The bonds issued under the Program will be offered for purchase pursuant to art. 33 item 2 of the Bond Act of 15 January 2015 (Journal of Laws of 2015, Item 238 as amended).

Decisions regarding the launch of further issues under the Program and their amounts will be made based on the Company's current funding needs. Detailed parameters of bond issue will be determined before the issue of a given bond series. The various series of bonds issued under the Program may contemplate registration of the bonds in the securities depository run by Krajowy Depozyt Papierów Wartościowych S.A. and of introducing the bonds to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. or BondSpot S.A.

This Program's objective is to diversify the sources of funding and optimize the Company's operating expenses. The Program will not affect the Company's current targets regarding the overall level of net debt to EBITDA. The cash funds obtained through the Program will be allocated to develop the Company's operations under its current growth strategy entailing in particular the roll-out of its own store network with distribution centers and logistic network.

On 13 October 2017, as part of the Program, the Company issued 100,000 series 1/2017 secured bearer bonds with a nominal value of PLN 1,000 each and a total nominal value of PLN 100 million ("Bonds"). Proceeds from the Bond issue were used by the Company in accordance with the specified purpose. The Bonds are secured by sureties of selected Dino Polska Group companies. The issue price of the Bonds was equal to their par value. The Bonds were offered for purchase in a private offering (pursuant to Article 33 Item 2 of the Bond Act of 15 January 2015 (Journal of Laws of 2015, Item 238, as amended) and bore interest at the variable interest rate – WIBOR 3M plus a fixed margin of 1.30 percentage points per annum.

The Bonds were registered in the securities depository run by the National Depository for Securities (KDPW S.A.) and introduced to be traded in the alternative trading system run by Warsaw Stock Exchange (GPW S.A.) and BondSpot S.A. The final maturity of the Bonds is 13 October 2020.

The table below presents information on bonds issued in the Group.

The table below presents details of CWN bonds held by Dino Polska.

Bond series	Issuer	Buyer	Number of bonds as at 31 December 2018	Bond type	Issue date	Nominal value/issue price	Interest rate	Maturity date	Redemption amount (principal)
A	CWN	Company	1,957,728	Bearer	15 May 2014	PLN 10 / PLN 10	8.1% per annum	31 March 2019	PLN 19,577,280.00
B	CWN	Company	883,200	Bearer	8 December 2014	PLN 1 / PLN 1	8.1% per annum	31 March 2019	PLN 883,200.00
C	CWN	Company	165,750	Bearer	7 December 2015	PLN 10 / PLN 10	8.1% per annum	15 December 2019	PLN 1,657,500.00

The bonds may be redeemed before maturity, provided that the early redemption is reported to the bondholder no less than 3 days before the option is exercised.

6.5. Management Board of Dino Polska

Members of the Management Board are appointed for a joint term of three years. The mandate of a member of the Management Board expires no later than on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year of serving as a member of the Management Board.

Composition of the Management Board

The Management Board comprises of between one and five persons. The number of members of the Management Board of a given term is set by the Supervisory Board.

Management Board Members, including the President of the Management Board, are appointed and dismissed by the Supervisory Board. Each Management Board member may be dismissed by the Supervisory Board at any time both for cause and without cause. The Supervisory Board may suspend some or all of the members of the Management Board due to important reasons. A Management Board member may also be dismissed or suspended in performance of his/her duties by a resolution adopted by the Shareholder Meeting.

Management Board's powers

The Management Board manages the Company's operations and assets and represents the Company externally before courts, authorities and third parties. The Management Board makes decisions in all the matters that are not reserved by the law or the Articles of Association as exclusive powers of the Supervisory Board or the Shareholder Meeting. Management Board Members do not have the power to decide on share issues or buyouts. All of the Management Board members are obligated and entitled to manage the Company's business jointly. Two Management Board members acting jointly or one Management Board member acting jointly with a commercial proxy are authorized to submit representations of will and sign on behalf of the Company.

Management Board Members

At the end of 2018 and as at the Report Date, the Management Board is comprised of two members. In October 2018, in connection with expiry of the term of office, the Supervisory Board appointed the existing Management Board members, i.e. Szymon Piduch and Michał Krauze, for another three-year term of office. No other changes in the composition of the Management Board took place in 2018 and up to the Report Date.

Full name	Age	Position	Date of assuming the function in the current term of office
Szymon Piduch.....	47	President of the Management Board	5.10.2018
Michał Krauze.....	36	Management Board Member	5.10.2018

The mandates of Management Board members expires no later than on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year in which a member served on the Management Board.

Szymon Piduch and Michał Krauze have been employees of the Dino Polska Group since 2002. From 2002 to December 2009, Szymon Piduch served, among others, as financial director. In March 2010 he was appointed to be the CEO. He is in charge of areas of expansion, investment and operations in the Company.

In 2002-2007, Michał Krauze was an accountant, then, in 2007-2011, an independent accountant, and then, in 2011-2016, a financial controller. He was appointed to the Management Board in May 2014, and since July 2016 he has also been discharging the function of Chief Financial Officer. In the Company, he is in charge of finance.

Compensation and terms of employment contracts of Management Board members

Compensation and rules for compensating Management Board members and rules governing the employment of Management Board members

Contracts between Management Board members and the Company

Management Board members are employed under employment contracts. Such contracts contain the fundamental provisions required by the provisions of labor law, including the job description and the amount of employee compensation. Existing contracts with the Management Board members have been entered into for an indefinite term and may be terminated with three months' notice. Moreover, these contract contain confidentiality clauses applicable to the Management Board members.

The employment contracts signed with Szymon Piduch and Michał Krauze require these Management Board members to refrain from involvement in any business competitive to that of the Company or the Subsidiaries during the employment relationship and for a period of 12 months following the expiration or termination of the employment contract for any reason. In particular, the Management Board members must not: (i) enter into any employment contracts, management contracts, consulting contracts or any other contracts or mandate arrangements with any entity running a business competitive to that of the Company or the Subsidiaries, accept positions in governing authorities of any such entity or render any services in its favor; (ii) be involved in any business of a competitive nature to that of the Company or the Subsidiaries, run on a self-employed basis; (iii) become a shareholder or establish a joint venture or have any other financial interest in a company running any business competitive to that of the Company or the Subsidiaries, except for the acquisition of shares in entities that are available on a public market in a quantity that entitles the holder to no more than 0.25% of the total number of votes at the shareholder meeting of the company in question. Throughout the non-competition period, the Management Board members are required to notify the Company in writing of undertaking any business or work, irrespective of the legal basis, which might be considered to constitute any business competitive to that of the Company or the Subsidiaries. Business competitive to that of the Company or the Subsidiaries is any business whose subject matter or any equity share overlaps, in whole or in part, with the extent of business operated currently or in the future by the Company in Poland. A contractual penalty is provided for a breach of the non-competition clause during the term of the employment contract, equal to 6 times the average monthly compensation obtained by the pertinent Management Board member prior to the cessation of the employment relationship, with an option allowing for the Company's pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. A contractual penalty is provided for a breach of the non-competition clause after the termination of the employment contract, equal to twice the amount obtained by the pertinent Management Board member as compensation for refraining from involvement in competitive activity, with an option allowing for the pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. Each Management Board member is entitled to (lump-sum) compensation for adherence to the non-competition clause after the termination of the employment relationship in an amount equivalent to 12 times the average monthly compensation obtained by the relevant Management Board member prior to such termination. The said compensation is payable in twelve monthly installments.

Moreover, in accordance with the terms of their employment contracts, the Management Board members are entitled to the use of a mobile phone and a portable computer for business-related purposes and Szymon Piduch is additionally entitled to the use of a company car.

The Management Board members also receive discretionary bonuses from the Company granted by way of Supervisory Board resolutions based on the rules governing the granting of bonuses for the achievement of targets set beforehand by the Supervisory Board.

Furthermore, the Management Board members may not, without the consent of the Supervisory Board, accept the function of a member of the management board or supervisory board in any company unrelated to Dino Polska.

Contracts between Management Board members and the Subsidiaries

In addition to the employment contract with the Company, Szymon Piduch has entered into mandate agreements with CWN, Agro-Rydzyna and Pol-Food under which he performs activities related to the discharge of the function of a management board member in these companies.

The agreements entered into by and between Szymon Piduch and the Subsidiaries contain confidentiality clauses and the requirement to refrain from the conduct of any competitive business during the term of the agreements and for 12 months following their expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from the involvement in any business competitive to that run by the Subsidiaries.

In addition to the employment contract with the Company, Michał Krauze has entered into a mandate agreement with Agro-Rydzyna under which he performs activities related to the discharge of the function of a management board member in Agro-Rydzyna. Agro-Rydzyna may grant Michał Krauze a discretionary bonus.

His agreement with Agro-Rydzyna contains provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from the involvement in any business competitive to that run by Agro-Rydzyna. The Management Board members also obtain discretionary bonuses from the Subsidiaries.

Amounts of compensation and other benefits due the Management Board members from the Company and the Subsidiaries

The table below shows the amounts of compensation and other benefits payable or paid to each Management Board member by the Company and the Subsidiaries in 2018.

	Compensations received from the Company		Compensations received from the Subsidiaries	
	Base compensation under the employment contract	Additional compensation in the form of discretionary bonuses	Base compensation under civil law agreements	Additional compensation in the form of discretionary bonuses
Full name	(PLN thousand)			
Szymon Piduch	64.3	888.6	306.6	-
Michał Krauze	70.0	333.7	148.8	-

The Management Board members are covered by third party liability insurance.

The contracts between the Management Board members and the Company do not provide for any compensation (other than those described above) in the event of a Management Board members' resignation or dismissal without a significant reason or if such dismissal results from the Company's merger with another entity by way of an acquisition.

Other than the benefits described above, as at the end of 2018 the Management Board members were not covered by any contingent or deferred benefits granted by the Company or the Subsidiaries.

There are no contracts between the Management Board members and the Company or the Subsidiaries providing for any benefits payable upon termination of the employment relationship. There are no liabilities arising from pension obligations or similar benefits payable to former members of management, supervisors or former members of administrative bodies.

6.6. Shareholder Meeting, shareholder rights and rules for amendment of the articles of association

A Shareholder Meeting is convened by way of an announcement published on the Company's website and in the manner provided for in the Commercial Company Code as well as in compliance with the Public Offering Act. Such an announcement should be published at least 26 days prior to the date of the Shareholder Meeting. Shareholder Meetings are held in the Company's registered seat or in Warsaw or in some other venue in Poland designated by the Company in the announcement regarding the convening of the Shareholder Meeting.

A Shareholder Meeting is convened by the Management Board. The Supervisory Board may convene an ordinary Shareholder Meeting if the Management Board fails to convene it within the prescribed time limit and may convene an extraordinary Shareholder Meeting if the Supervisory Board considers it expedient. The right to convene an extraordinary Shareholder Meeting is also vested in Company's shareholders representing at least half of the Company's share capital or at least half of all votes in the Company. In such a case, the Company's shareholders have the right to appoint the chairperson of the Shareholder Meeting.

Moreover, a shareholder or shareholders representing at least one-twentieth of the Company's share capital may request that an extraordinary Shareholder Meeting be convened and that specified items be placed in the agenda of the Shareholder Meeting. Such a request to convene an extraordinary Shareholder Meeting must be submitted to the Management Board in writing or in electronic form. If, within two weeks from the date of submission of the request to the Management Board, the latter fails to convene the extraordinary Shareholder Meeting, the court of registration may authorize the Company's shareholders who have submitted the request to convene the extraordinary Shareholder Meeting themselves. In such a case, the court appoints the chairperson of the Shareholder Meeting.

The right to participate in the Shareholder Meeting is vested only in those persons who are the Company's shareholders sixteen days prior to the date of the Shareholder Meeting (date of registration of participants). The shareholders have the right to participate in the Shareholder Meeting and exercise their voting rights in person or by proxy. Furthermore, each shareholder is entitled to have a say on the matters included in the agenda. A detailed description of the procedures governing participation in Shareholder Meetings and the exercise of voting rights is always provided along with the announcement on convening a Shareholder Meeting.

The Shareholder Meeting is the body authorized to make decisions concerning issues related to the organization and operations of the Company, except for the cases specified in the Commercial Company Code and the Articles of Association. The rules for holding the Company's Shareholder Meetings are defined by the Rules and Regulations of the Shareholder Meeting in Dino Polska S.A. published on the website grupadino.pl.

The rights of the shareholders and the method of exercising them at the Shareholder Meeting are specified in the Commercial Company Code and the Articles of Association. In accordance with the Articles of Association, the powers of the Shareholder Meeting include:

- appointing and dismissing Supervisory Board members;
- defining the rules for compensating Supervisory Board members and setting the amounts of such compensations,
- establishing, utilizing and dissolving reserve capital and other special-purpose funds as well as utilizing supplementary capital.

An amendment to the Articles of Association requires the adoption of a Shareholder Meeting resolution by a three-fourths majority of votes. An amendment to the Articles of Association materially changing the Company's line of business (Article 416 § 1 of the Commercial Company Code) does not require a buyout of the shares held by the shareholders objecting to such an amendment if the relevant resolution of the Shareholder Meeting is adopted by a 2/3 (two-thirds) majority of the votes in the presence of shareholders representing at least one half of the share capital.

6.7. Supervisory Board and its committees

The Supervisory Board exercises regular supervision over the Company's operations in all areas of its activity. Members of the Supervisory Board are appointed for a joint term of three years. The mandates of the members of the Supervisory Board expire, at the latest, on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year during which they held the position of a Supervisory Board member.

The Supervisory Board consists of five to eight members.

As at the Report Date, according to the Articles of Association, Supervisory Board members are appointed and dismissed in the following manner:

- a) as long as Tomasz Biernacki holds shares representing at least 50% of the overall number of votes at the Shareholder Meeting plus one share, Tomasz Biernacki will be authorized to appoint and dismiss one member of the Supervisory Board who will also serve as the Supervisory Board Chairman, by way of written representation to appoint or dismiss a Supervisory Board member, which becomes effective upon delivery to the Company;
- b) the other Supervisory Board members are appointed and dismissed by the Shareholder Meeting and the Supervisory Board Deputy Chairperson is elected by Supervisory Board members from among themselves.

In the case of voting in separate groups in accordance with the procedure prescribed by Article 385 of the Commercial Company Code, the Supervisory Board will have eight members, however, until the expiry of the powers referred to in item (a) above, Tomasz Biernacki will have the right to appoint the Supervisory Board Chairman from among the Supervisory Board members elected in connection with the voting in by voting in separate groups. If the powers referred to in item (a) above expire, then the Supervisory Board Chairman will be elected by the Supervisory Board members from among themselves.

Supervisory Board members

As at the Report Date, the Supervisory Board consists of five members. Its composition has fallen by one person, Mr. Pierre Detry, versus the status as at 31 December 2017 as a result of the elapse of the term of office. On 21 May 2018 the Company's Shareholder Meeting appointed Supervisory Board members for a new three-year term of office, in the composition presented in the table below. These persons discharged the functions of Supervisory Board members also in the previous term of office.

The following table presents basic information on the Supervisory Board members at the end of 2018

Full name	Age	Position	Date of assuming the function in the current term of office
Tomasz Biernacki.....	45	Supervisory Board Chairman	21 May 2018
Eryk Bajer	50	Supervisory Board member	21 May 2018
Maciej Polanowski	48	Supervisory Board member	21 May 2018
Piotr Nowjalis.....	44	Supervisory Board member	21 May 2018
Sławomir Jakszuk.....	55	Supervisory Board member	21 May 2018

Eryk Bajer, Tomasz Biernacki and Maciej Polanowski have been discharging the functions of Supervisory Board members since 2010. Piotr Nowjalis and Sławomir Jakszuk have been discharging the functions of Supervisory Board members since 2015.

Audit Committee

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition complies with the Statutory Auditor Act and the Best Practices of WSE Listed Companies. The Company's Audit Committee was appointed by a Supervisory Board resolution of 1 December 2016.

The tasks of the Audit Committee include, in particular: (i) monitoring the financial reporting process; (ii) monitoring the effectiveness of the internal control, internal audit and risk management systems; (iii) monitoring the performance of the financial review activities; (iv) monitoring the independence of the statutory auditor and the entity authorized to audit financial statements, also if services other than financial review are performed for the Company; and (v) recommending the entity authorized to audit financial statements to the Supervisory Board to perform the financial review activities for the Company.

On 14 June 2018 the composition of the audit committee of the new term of office of the Company's Supervisory Board was appointed. The following persons were appointed to the committee: Piotr Nowjalis (Audit Committee Chairman), Sławomir Jakszuk and Maciej Polanowski. The composition of the Audit Committee has not changed versus the end of 2017.

Piotr Nowjalis satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies. Additionally, he satisfies the criteria for independence prescribed by the Statutory Auditor Act and holds qualifications in accounting.

Sławomir Jakszuk satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies. Additionally, he satisfies the criteria for independence prescribed by the Statutory Auditor Act.

Piotr Nowjalis has knowledge and experience on accounting acquired during his professional career, while discharging the functions of financial director and management board member responsible for finance and accounting in public companies: AB S.A. (2003-2008) and CCC S.A. (2008-2017).

Piotr Nowjalis has knowledge concerning retail network management which gained when he was in CCC S.A. in 2008-2017. Sławomir Jakszuk is a partner and legal advisor in the Prof. Wierzbowski i partnerzy law firm. He has extensive experience in the area of capital markets and has advised a number of securities issuers on matters associated with their statutory duties. In 2018 Audit Committee held five meetings.

Compensation and rules for compensating Supervisory Board members

The table below shows the annual compensation received by the various Supervisory Board members from the Company in 2018. Supervisory Board members do not receive compensation from Subsidiaries.

Full name	Compensation from the Company in 2018 (PLN thousand)
Tomasz Biernacki.....	0.0
Eryk Bajer	83.4
Maciej Polanowski	78.5
Pierre Detry	60.0
Piotr Nowjalis.....	99.6
Sławomir Jakszuk.....	83.4

The total value of the benefits received from the Company by the aforementioned Supervisory Board members in 2018 was PLN 404.9 thousand (in 2017 the compensation for Supervisory Board members was PLN 532.2 thousand). These benefits included compensation for discharging the function of a Supervisory Board member.

6.8. Auditor

Pursuant to § 20 Sec. 1 Item 6 of Dino Polska's Articles of Association, selection of the statutory auditor to audit the financial statements of Dino and the Dino Group is within the powers of the Dino Polska S.A. Supervisory Board. The Supervisory Board selects the statutory auditor on the basis of the opinion and recommendation of the Audit Committee.

On 20 June 2017, the Company entered into an agreement with Ernst & Young Audyt Polska sp. z o.o. sp. k., with its registered office in Warsaw, Rondo ONZ 1, entered in the list of entities authorized to audit financial statements kept by the National Chamber of Statutory Auditors under file number 130, to review the interim H1 financial statements of Dino Polska and interim H1 consolidated financial statements of the Dino Polska Group,

and to audit the standalone financial statements of Dino Polska and consolidated financial statements of the Dino Polska Group for 2017.

On 7 June 2018, the Company, based on a Supervisory Board decision and based on the Audit Committee's recommendation satisfying the required conditions, extended the agreement with Ernst & Young Audyt Polska sp. z o.o. sp. k., with its registered office in Warsaw, Rondo ONZ 1, to review the interim H1 financial statements of Dino Polska and interim H1 consolidated financial statements of the Dino Polska Group for 2018, 2019 and 2020, and to audit the standalone financial statements of Dino Polska and consolidated financial statements of the Dino Polska Group for 2018, 2019 and 2020.

In 2018 Ernst & Young Audyt Polska sp. z o.o. sp. k. did not provide to the Company or to its Subsidiaries any services other than financial statements review or audit services.

The table below presents the fees charged by the entity authorized to audit the financial statements paid or due for the years ended 31 December 2018 and 2017, by type of service.

Type of services	01.01.2018-31.12.2018	01.01.2017-31.12.2017
Mandatory audit of financial statements	332	331
Review of the interim financial statements	71	71
Other audit services*	-	343
Tax advisory services	-	-
Total	403	745

* Other services concern audit services related to the verification of data contained in the Company's prospectus before the initial public offering which took place in March-April 2017.

Below are the Company's main assumptions of the policy for selecting an audit firm:

- an audit firm to audit the separate financial statements of the Company and the consolidated financial statements of the Dino Group is selected for up to 5 years,
- the same audit firm upon elapse of the maximum term may be reselected after elapse of at least 3 years of the completion of the last statutory audit,
- launch of the audit firm selection procedure is preceded by an Audit Committee resolution which obligates the Company to appoint a team to carry out a tender and prepare requests for proposal; the proposals sent to the Company, after they are collectively opened by the tender team, are submitted to Audit Committee members and Supervisory Board members.
- The Company evaluates the proposals submitted by the audit firms in accordance with the selection criteria laid down in the tender documentation and prepares a report comprising the findings of the selection procedure approved by the Audit Committee.
- Evaluating the proposals, the Audit Committee takes into account: a) experience in auditing financial statements of public companies; b) professionalism; c) knowledge of the retail business; d) position of the statutory auditor in the audit service market; e) content and presentation of the proposal; f) price,
- The Audit Committee selects at least two proposals by a majority of votes (if the selection does not pertain to extension of the mandate) or indicates the existing audit firm if the mandate is being extended, which are recommended, together with a justification, to the Supervisory Board for selection,
- if the Supervisory Board's decision regarding the selection of the audit firm deviates from the Audit Committee's recommendation, the Supervisory Board is required to present a justification stating the reasons for refusing to follow the Audit Committee's recommendations. The Supervisory Board forwards such justification to the Shareholder Meeting.

The Company has a policy for the provision of permitted non-audit services by the audit firm carrying out the audit, by related parties of such audit firm and by a member of the audit firm network. In line with its assumptions, provision of non-audit services is possible, excluding forbidden services, after the Audit Committee evaluates

the threats and safeguards of the independence (the Audit Committee refuses to give consent to provision of services if there is a risk that the threat to independence cannot be reduced to an acceptable level that does not threaten the Company's interest). In addition, the aforementioned policy defines the periods in which non-audit services cannot be provided and comprises catalogs of services whose provision by the statutory auditor or audit firm is prohibited, and of permitted services.

6.9. Transactions with related parties

Neither the Company nor its subsidiaries entered into transactions with related parties that deviated from arm's length basis. Detailed information about transactions with related parties is presented in Note 40 to the Company's Consolidated Financial Statements for the year ended 31 December 2018, and in Note 31 to the Consolidated Financial Statements for the year ended 31 December 2018 prepared in accordance with the International Financial Reporting Standards approved for application in the EU.

6.10. Legal proceedings

As at 31 December 2018, Dino Polska and certain Subsidiaries were parties to several legal actions which, in the Company's opinion, did not generate any major receivables or payables. According to the Company's best knowledge, as at 31 December 2018 and the Report Date, there were no pending proceedings pertaining to liabilities and/or receivables of the Company or its subsidiaries whose value would exceed 10% of the Company's equity.

7. NON-FINANCIAL REPORT OF DINO POLSKA AND THE DINO POLSKA GROUP

7.1. Business model

The core line of business of Dino Polska is retail sales of food products in the Group's own network of stores operating under the brand name of 'Dino'. The Dino Group's business model combines the advantages of modern medium-size supermarkets located in the vicinity of customers' homes with the ability to expand the store network quickly and with an attractive product range comprising primarily branded and fresh products at competitive prices.

As at 31 December 2018 Dino Polska operated a network of 977 stores with the total selling area of 376 thousand m². Usually the land and buildings in which Dino stores are located are owned by Dino Polska or its Subsidiaries. Land and buildings form the main assets of Dino Polska and the Group.

A typical Dino Group store is a free-standing building located in a small or medium-sized town or on the outskirts of a large city, open from 7:00 a.m. to 10:00 p.m. Most stores have a sales floor area of approx. 400 square meters and are located on plots with a parking lot for 10-30 vehicles. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products. Every Dino store has a traditional fresh meat counter with counter staff. Agro-Rydzyna, a Dino Polska wholly owned subsidiary operating a meat processing plant, supplies its high quality meat and cold cuts to these counters.

Agro-Rydzyna is the sole supplier of high-quality fresh meat and the main supplier of cold cuts to the Dino Group. The whole production of the meat processing plant operated by Agro-Rydzyna is sold through the Dino Group's store network. The meat processing plant operated by Agro-Rydzyna is located in Kłoda in Wielkopolskie voivodship and has a total floor area of 13,179 square meters. Moreover, Agro-Rydzyna supplies Dino stores with poultry products.

The Dino store network is supported by a warehousing and distribution system managed centrally from four distribution centers (located in Krotoszyn, Piotrków Trybunalski and Jastrowie and Rzeszotary) and by a network of independent transportation companies. As at 31 December 2018, the total warehousing space was 149 thousand square meters and was 33.1% higher than at the end of 2017.

As at 31 December 2018, the Dino Group had 16,530 staff working under employment contracts, 14,360 of whom were employed by the Company (mainly as store personnel).

The Dino Polska Group is composed of the parent company of Dino Polska S.A. with its registered office in Krotoszyn, Poland ("Company"), and its 14 subsidiaries. The Group's subsidiaries have the following core lines of business: (i) processing and preservation of meat, excluding poultry; (ii) warehousing and storage of merchandise; (iii) buying and selling of own real estate, renting and operating of real estate. A detailed diagram of the Group and a description of the Subsidiaries are provided in the section entitled "Operations of Dino Polska and the Group".

Dino Polska and the Subsidiaries operate in the Republic of Poland. The Company's registered office is located in Krotoszyn, Poland. Dino Polska has no branches outside of Poland's borders.

Dino Polska S.A. is a joint stock company listed on the Main Market of the Warsaw Stock Exchange since April 2017. Dino Polska shares are included in the WIG and mWIG40 indices (up to 15 March 2019) and WIG20 indices (from 15 March 2019) calculated by the WSE as well as in several international indices, for instance MSCI Poland and MSCI Emerging Markets published by MSCI and developed market indices calculated by FTSE Russel (after Poland was reclassified by FTSE Russel from developing to developed markets in September 2017).

The Group's strategy assumes further growth by focusing on the following three key areas:

- continuation of rapid organic growth in the number of stores,
- continued growth in LFL sales revenue in the current store network,
- consistent improvement in profitability

A detailed description of the Dino Group's strategy is presented in the section entitled "Operations of Dino Polska and the Group".

7.2. Employees

It is the employees of the Dino Polska Group who shape the Group's success, establish good relationships with its business partners and make sure that customer service in the Dino store network is of a high quality. One of the key factors driving the Dino Group's business development in the future, especially its geographic expansion and the execution of its strategy, is having the appropriate number of qualified and committed employees.

To ensure that actions taken in the HR area are consistent with the strategic objectives, Dino Polska and the Dino Group implement a proactive HR policy focused on:

- ensuring the Group's competitiveness on the labor market,
- maintaining effective recruitment and internal promotion mechanisms,
- efficient acquisition of new employees by way of external recruitment,
- developing and increasing the level of employee competence,
- ensuring a friendly and safe working environment,
- respecting workers' rights, ensuring equal opportunities and applying a policy of non-discrimination.

At the foundation of HR policy is the straightforward organizational structure of both the Group as a whole and of its individual company members as well as the well-defined areas of responsibility of each department and employee. All members of Dino Polska and Dino Group staff act on the basis of precisely defined objectives, and the boundaries of their actions, in each of the four main areas: stores, warehouses, meat processing plant and head office, are defined by the fundamental HR procedures. The distinguishing features of Dino Polska and the Dino Group's organizational culture are: efficient execution of business processes, high productivity and low level of bureaucracy.

A key role in the process of HR management at Dino Polska is played by the HR Department, which operates in consultation with the heads of each business area within the Group who are responsible for backing the development of their subordinate staff, transferring knowledge, building a friendly atmosphere and ensuring safe working conditions. The principal framework of Dino Polska's employee policy is rests on the Work Rules and Regulations and the Compensation Rules and Regulations. Additionally, the Company has in place several documents related to its employee policy (in particular: the internal anti-mobbing procedure, a number of HR procedures for employees of stores, warehouses and the head office, rules and regulations for staff employed in the head office, HR manual for store staff). These documents are made available to employees via the Company's intranet or are provided to them in paper form along with the employment contract.

A significant element of the HR management area in Dino Polska and the Dino Group is short and long-term planning which provides Dino Polska and the Subsidiaries with a great deal of flexibility in the area of internal recruitment and a strong capacity to acquire new staff. As part of the HR management process, Dino Polska has established a compensation committee and a committee for handling employment planning, among others. The meetings are held at least once per month and, in addition to a representative of the HR Department, are attended also by key managers. The effects of HR management and the policy in this area are evaluated on an annual basis by the Dino Polska Management Board.

Employment and working conditions

The majority of store personnel are hired under an employment contract providing for a fixed employee compensation and the opportunity to be awarded a monthly bonus. The Dino Group hires its staff mainly on the basis of employment contracts. As at 31 December 2018, the Dino Group employed a total of 16,530 staff, up by 3,401 (25.9%) persons from yearend 2017. Moreover, as at 31 December 2018, 301 persons were hired by the Dino Group under other civil law agreements, as compared to 650 such persons a year earlier. The Group makes use of forms of employment other than the employment contract to provide store personnel with assistance during seasonal sales peaks.

Temporary workers are hired by the Dino Group only in exceptional situations. During and as at the end of 2018, their number ranged from several to fewer than twenty.

The table below shows information on the number of Dino Group staff hired (on a full-time or part-time basis) under employment contracts as at the dates indicated therein.

Company	As at 31 December		
	2018	2017	2016
Dino Polska	15,522	12,392	9,971
Dino Krotoszyn	230	213	229
Agro-Rydzyna	722	519	436
Dino Południe	56	0	0
Pol-Food	0	5	4
Dino Group total:	16,530	13,129	10,640

The majority of Dino Group staff are blue collar workers (approx. 86% of all personnel). These are mostly persons employed by the stores, the meat processing plant and the distribution centers.

The table below shows information concerning the headcount structure by type of job as at 31 December 2018.

	blue-collar employees	white-collar employees
Dino Polska	13,421	2,101
Dino Group total:	14,276	2,254

Staff hired by the Dino Group, depending on the duties entrusted to them, may be subject to a primary, shift-based, task-based or balanced work system. Dino Polska also enables its personnel, especially store personnel, the majority of whom are women, to work on a part-time basis. This also applies to persons employed in warehouses and in the head office. As at the end of 2018, 521 persons were taking advantage of this form of employment.

The table below shows information concerning the headcount structure by employee gender as at the end of 2018

	female	male
Dino Polska	13,999	1,523
percentage of total headcount	90.2%	9.8%
Dino Group total:	14,467	2,063
percentage of total headcount	87.5%	12.5%

Dino Group staff are offered the same social and financial benefits regardless of the type of employment contract or working time.

Recruitment and promotions

The essence of Dino Polska's HR policy is to create equal conditions for all employees to be promoted and in internal recruitment processes. People who have previously worked in another Dino store usually become new store managers, as this makes it possible to promote ambitious employees and ensures that trained employees having the appropriate experience will lead the Dino Group's expansion. 1,515 people were promoted in Dino Polska in 2018. When it comes to stores, hiring a person from outside the firm to take a managerial position requires special consent from the HR Department, which confirms our focus on internal promotions.

The new employee recruitment process is run by head office employees and dedicated field recruiters who handle recruiting for stores. The HR Department assess on an ongoing basis the effectiveness of the recruiting policy, among others, by analyzing unfilled positions, and it also defines plans pertaining to the demand for new

employees in subsequent periods. Thanks to that Dino Polska is capable of effectively aligning the level of headcount to the needs of the various departments, ensuing from the Group's rapid growth.

Dino Polska and its Subsidiaries are guided by the principle of equal opportunities and of non-discrimination in the entire process of managing HR and at the stage of recruiting employees. For years the Dino Group has created conditions to hire disabled persons. At the end of 2018, Dino Polska had 1030 disabled employees; at the end of 2017 it had 853 disabled employees. At the Group level, these figures are as follows: 1096 disabled employees at the end of 2018 and 904 at the end of 2017. When it comes to hiring for its stores, the Dino Group facilitates the finding of a job and offers the necessary training to young persons and senior citizens and persons with a low level of education. Job offers in stores and warehouses are also given to people without professional experience. They are given the appropriate training and in the course of their employment, care is given to their development.

The table below shows information concerning the headcount structure by employee age as at the end of 2018

	<25	25-34	35-44	45-54	55<
Dino Polska	2896	4878	4522	2470	756
percentage of total headcount	18.7%	31.4%	29.1%	15.9%	4.9%
Dino Group total	3118	5138	4784	2639	851
percentage of total headcount	18.9%	31.1%	28.9%	16.0%	5.1%

On account of the Company's strategic decision to open Dino stores in small and medium-sized cities, and frequently in rural areas, Dino Polska is an important player on the local labor markets offering employment on the basis of an employment contract and significantly enhancing the local community's ability to find a job close to its place of residence.

Training and development

How employees serve clients significantly contributes to client satisfaction. Rapid access to knowledge and sharing it are crucial if employees are to improve their qualification, derive satisfaction from their jobs and improve organizational effectiveness. The Dino Group gives its employees the ability to develop and the appropriate training for a given job. Dino Polska and the Dino Group strive to ensure equal growth opportunities for all of its employees.

Prior to opening a new store its employees undergo introductory training that lasts several weeks and is delivered in other Dino stores. During the first several weeks of operation of a new store, new employees also receive support from the Dino Group's trainers whose task is to prepare, train and oversee their work. Employees are encouraged to share their work in a team. Training sessions in the Dino Group are run chiefly by experienced internal trainers. In addition, administrative employees and others requiring specialist knowledge benefit from external training sessions. They also use subscriptions and access to professional internet portals.

In 2018 Dino Polska employees participated in a total of roughly 83 thousand person hours of training, or 6 hours per employee on average (calculated using the average headcount during the year). The training policy calls for employing different types of activities and tools, especially ones including the following: i) on the job training involving the operation of specific devices and equipment, ii) training in a training room, iii) multimedia training, including e-learning, iv) self-education based on procedures and manuals available on our internal portal, job rotation and participation in various types of projects. On top of sales and product training, or training required by law, e.g. Occupational Safety and Health (OSH), training is also delivered in the form of coaching, focused on bolstering selected employee competences.

Dino Polska makes an effort to engage employees in the company's matters. For this purpose, a mechanism has been put in place that allows all the employees to report and the Company to reward ideas to improve processes, raise the comfort of work or optimize the use of resources.

Compensation policy

The compensation system functioning in the Company is predicated on fixed and variable compensation (directly following from the motivation system). The motivational portion takes the form of bonuses that are paid in monthly intervals. A compensation committee is held regularly in the company to perform the following tasks:

(i) overview of the level of compensation for various positions; (ii) examination of applications to change the level of compensation for various positions. No material changes were made to the compensation policy in the last financial year. When conducting an overview of the level of compensation in the Company, the Company's Management Board decided to grant pay raises to specific job positions. According to the Company's Management Board, the compensation system functioning in the Company is aligned to its operating profile and long-term growth strategy.

Diversity

The Dino Group implements a policy in accordance with which it employs competent and creative individuals who have the appropriate professional experience and education. Women hold 67% of the managerial and directorial positions (senior and mid-level management) in the Company's head office (58% in the Group). In addition, the Company rules out any and all forms of discrimination against employees. The differentiation in Dino Polska's team in respect of age, education, competences, experience and gender lends dynamism to it while cultivating creativity and it consequently translates into Dino Polska and Dino Group's rapid growth, attractive product offering, robust relations with business partners and high level of client service.

No formal diversity policy is in operation in the Company with respect to the managing and administering bodies. The Company does not have any influence over the composition of its corporate bodies. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and experience, notwithstanding their age, gender, education and other attributes. The Company's Management Board is guided by these very same criteria when it makes staffing decisions pertaining to key managers. The Company does its utmost to ensure that all employees have equal opportunities in terms of professional development and promotions.

The table below shows information concerning the employment of men and women in Dino Polska as at the end of 2018

	female	male
cashiers and blue-collar employees	11,400	1,093
office employees	742	302
lower level* management	1742	63
medium and upper level** management	113	67
Company's Management Board	0	2
Supervisory Board	0	5

* chiefly store managers

** chiefly directors and department heads in the head office

The table below shows information concerning the employment of men and women in the Dino Group as at the end of 2018

	female	male
cashiers and blue-collar employees	11,792	1,556
office employees	806	350
lower level* management	1,742	63
medium and upper level** management	125	96

* chiefly store managers

** chiefly directors and department heads in the head office

Safety in the workplace

The Dino Group's activity in terms of safety in the workplace is concentrated on the following aspects: prevention, building a risk awareness and adherence to safety procedures.

The occupational safety and health (OSH) actions are regulated in Dino Polska and Subsidiaries in procedures and instructions dedicated to specific operating areas that discuss the fundamental issues of occupational safety

and health, fire prevention and training activity. The Company has a separate cell dealing with OSH that is responsible for the compliance of Dino Polska's actions with the overall issue of safety in the workplace and in particular with the legal regulations in this area. This cell is responsible, among other things, for improving the safety of employees, monitoring and registering work accidents as well as for taking any possible corrective measures in areas featuring an excessive number of events. Under prevention measures whose purpose is to curtail the number of accidents in the workplace, the Dino Group companies deliver OSH training and they conduct regular audits on the application of OSH procedures. Employees working at specific positions are allocated protective clothing. An attachment to the Work Rules and Regulations prescribe the standards of allocation. The Dino Group has distinct OSH procedures and staff dedicated to stores, distribution centers and the meat processing plant.

540 accidents took place in Dino Polska in 2018. There were 420 the year before (data adjusted as compared to the 2017 report figures). They were chiefly minor injuries. In the Dino Group these statistics are as follows: 581 in 2018 and 445 in 2017. The rise in the number of accidents is the outcome of the rapid growth in the Dino supermarket network and its logistics system and the growth in headcount accompanying the above from 13,129 employees at the end of 2017 to 16,530 at the end of 2018.

Other information

On 31 December 2018 there were two trade unions operating in Dino Polska and in total they had 164 members. Dialogue with the trade unions is conducted through a standing, 3-person team of Dino Polska representatives. This team takes part in regular meetings with persons representing the trade unions. Dino Polska does not have any collective bargaining agreements. No group layoffs have transpired in the past.

Dino Polska has regulations in place to ensure respect for employee rights. They include, among others, an anti-mobbing policy. In addition, Dino Polska has a mechanism for employees to lodge complaints. They may be transmitted to a dedicated e-mail address. Each complaint is reviewed on an individual basis and the employee receives a reply. If the complaint is considered justified, corrective action is taken. The corresponding system is in operation in Agro-Rydzyna where employees may submit complaints through a dedicated e-mail account or directly to the HR department.

Internal communication with employees is facilitated using the internal intranet network through which employees have access to the binding procedures, and to current information of importance from the firm's point of view. Internal communication is also conducted by using e-mail and directly (through immediate supervisors). Key information may also be conveyed to employees by hanging this information on dedicated information boards.

7.3. Natural environment

Dino Polska and Dino Group companies pursue an environmental policy focused on gradual attenuation of the impact their operations exert on the natural environment, especially in areas such as the emission of harmful substances into the atmosphere, electricity consumption, water consumption, fuel consumption and the quantity of waste produced. The purpose of every cell responsible for the foregoing issues is to enhance constantly the efficiency of utilization of energy, water and fuel and minimize waste and product spoilage. Dino Polska additionally strives to raise the environmental awareness of its employees and clients. The internal regulations obligate the employees of Dino Polska and the Dino Group to conserve electrical energy and water and drive company cars economically. Waste separation is conducted in all Groups companies. Plastic and paper waste is recycled. In addition, Dino Polska conducts a constant collection of used batteries which Dino clients can toss into containers located in each store especially for this purpose.

The environmental audits conducted by independent entities to date show that the Company's operations do not pose a material threat to the environment. No incidents or environmental accidents have occurred in the Company's business to date. Nor has the environmental activity of the Dino Group Companies been the subject matter of any inspections (or penalties) in recent years on the part of administrative bodies.

The Company satisfies all environmental and social standards imposed by national law and it holds all the requisite environmental approvals and licences required in its operations. In addition, we monitor on a regular

basis to ensure that the operations of Dino Polska and the Dino Group and their internal procedures are compliant with the law.

Electricity consumption

The goal of the Dino Polska Group is to enhance with consistency the energy efficiency of the machinery and equipment used in all the areas of the Group's operations (stores, distribution centers, meat processing plant, offices) and thereby to reduce the demand for electricity. In 2017, an energy audit was administered in Dino Polska and Agro-Rydzyna, in order to define the energy balances of the various companies and their departments, to survey the current status of installations and present recommendations to reduce the business's energy intensity.

In 2018, the Company and the Group continued the process of replacing the lighting in the existing stores and warehouses to LED lighting.

In 2018 a modern battery unit was created in Agro-Rydzyna, which increased the efficiency of charging of batteries for forklifts, extended their life span and enabled better optimization of the use of electricity during the charging process. Similar solutions are also used in the Group's distribution centers.

In all the Group's new warehouse facilities, LED lighting is being installed with an integrated DALI control system. This solution makes it possible to control individually the intensity of lighting from the LED fixtures in the system. The system has the capacity to adjust the intensity of the lighting from the fixtures to external lighting conditions, i.e. to maintain a constant intensity of lighting within the sensor's field of vision. The second function is turning on lighting after the presence sensor detects movement. This provides for a significant reduction in energy consumption and enhanced comfort in the use of lighting.

In 2018 Dino Polska's energy consumption was 130 GWh. The increase versus 2017 (103.3 GWh) is an effect of the rapid growth of the Dino supermarket network from 775 stores at the end of 2017 to 977 at the end of 2018 and the opening of a fourth central warehouse (in Rzeszotary) in Q4 2017. Dino Polska's energy consumption per PLN 1 million of revenue fell in 2018 by 3.8% compared to 2017 (from 23.2 MWh to 22.3 MWh).

In 2018 the Dino Polska Group's energy consumption was 136.5 GWh. The increase versus 2017 (109.1 GWh) is an effect of a dynamic growth of the Dino supermarket network.

The Dino Polska Group's energy consumption per PLN 1 million of revenue fell in 2018 by 10.8% compared to 2016 (from 24.4 MWh to 23.4 MWh).

The table below shows information relating to electricity consumption

MWh	As at 31 December	
	2018	2017
Dino Polska	130,011	103,343
converted into PLN 1 million of revenue	22.6	23.2
Dino Group total:	136,524	109,065
converted into PLN 1 million of revenue	23.4	24.4

Fuel consumption and CO₂ emissions

The Dino Group constantly strives to reduce its adverse environmental impact. Dino Polska and the Group are pursuing a number of initiatives to curtail the emissions of harmful substances into the atmosphere, including in particular carbon dioxide (CO₂). They comprise measures to reduce the demand for electrical energy as well as measures promoting an environmentally-friendly attitude among the employees and clients of the Dino stores (e.g. bicycle stands have been installed in front of the Company's offices and stores). Additionally, the projects are in progress and they directly reduce the emission of harmful substances into the atmosphere.

The Dino and Dino Group's car fleet consists mainly of passenger vehicles and light trucks powered by diesel fuel. 94% of the fleet of 410 passenger vehicles and light trucks used by Dino Polska satisfies the EURO 6 vehicle emission standard. The other vehicles satisfy the EURO 5 standard.

Dino Polska uses a fleet management system entailing solutions that allow it to measure and manage its environmental impact. The reports generated make it possible to calculate fuel consumption and monitor vehicle mileage. The firm has a policy of using company vehicles that obliges drivers to drive economically, safely and in accordance with driving regulations.

The Dino Group utilizes the services of tens of companies rendering transport services. These firms render merchandise transport services from the meat processing plant and the Group's central warehouses to the Dino stores using their own tractors and trailers. The Dino Group's delivery vehicle fleet has 429 vehicles, of which 68% meet the EURO 6 vehicle emission standard (while others meet the EURO 5 standard). The rolling stock is gradually being replaced with vehicles satisfying the EURO 6 standard. Dino Polska supports its business partners in this area. In addition, the Dino Polska Group is the owner of 213 trailers as at 31 December 2018 (it had 132 trailers at the end of 2017), thereby augmenting its flexibility in reference to managing the distribution of products. These are new trailers (manufactured in 2014-2018) utilizing modern refrigeration equipment that satisfies high environmental standards.

The Dino Polska Group manages the entire logistics process. In conjunction with the Dino store network roll-out the Group is steadily investing in new distribution centers thereby contributing to shortening the logistics routes, enhancing the effectiveness of the overall transportation system, fuel consumption and thereby reducing the quantity of harmful substances emitted into the atmosphere. In 2018 the fuel consumption of the Dino Group's supply vehicles per PLN 1 million of revenue increased by roughly 11% compared to 2017, chiefly as a result of a long and hot summer.

Dino stores are heated using heat pumps (air-air) that when in operation they do not emit harmful substances into the atmosphere.

Dino Polska and the Group Companies monitor the emission of harmful substances into the atmosphere for select facilities / initiatives. According to the legal requirements, they remit environmental fees related to the volumes of consumed energy and the resulting harmful substances emitted into the atmosphere.

Water consumption

Water is supplied to the Dino Group Companies and to various stores from municipal water supply systems operating in a given municipality. On top of enhancing employee awareness (internal procedures oblige them to conserve water), the Group employs solutions conducive to reducing water consumption. Some of the Group's facilities are equipped with sanitary equipment and fixtures and fittings that are controlled through contactless technology. In addition, roughly 99% of the facilities have installed single lever taps to reduce the time needed to adjust the appropriate stream of water and its temperature, which considerably contributes to curtailing water consumption.

In 2018 water consumption was: in Dino Polska - 112 thousand m³, in Dino Polska Group – 267.1 thousand m³. More than 56% of water in the Dino Group is consumed by the Agro-Rydzyna meat processing plant. Consumption of water in Agro-Rydzyna in 2018 rose by 22.1% compared to 2017 as a result of an increase in production, which in turn was driven by the Dino store network rollout. Per PLN 1 million of revenues, consumption of water by Agro-Rydzyna fell by 3.4% in 2018 vs. 2017. This was achieved, among others, by replacing the specialized washers for the equipment used in the smoking process, with newer and more economical units.

The Dino Group produces mainly sanitary sewage that is discharged into the sewer system. Additionally, the Agro-Rydzyna meat processing plant produces industrial waste that are collected by specialized firms after preliminary treatment in the fat separator and then transported to a dump station. After that, it makes its way to the waste treatment plant operated by the municipal water and sewer system company.

Management of waste and recyclable raw materials

Dino Polska and Dino Group companies strive to reduce the quantity of produced waste, and whenever possible they recycle it. The waste generated by Dino Polska mainly includes the following: communal waste, paper and cardboard, plastics and past due food products or ones that are not fit for consumption as well as side products of animal origin (in the meat processing plant). Waste separation rules are in force in Dino Polska and the Dino Group companies. According to them, paper and cardboard and plastics are recycled in full. Solutions to reduce

the quantity of communal waste are being introduced with determination in the Dino store network, such as, for instance, selective collection of rotten fruit and vegetables and other selected categories of products not fit for consumption and their turnover to specialized companies for composting (organic recycling).

Due to vertical integration with the meat processing plant that is responsible for stocking all the Dino stores with meat and cold cuts, the Company is capable of managing very effectively the process of production and logistics to stores, thereby contributing to curtailing product spoilage. According to Dino Polska, vertical integration with the meat processing plant contributes to the relatively low level of overall product spoilage in the Dino network. In addition, the Company applies mechanisms to motivate employees to manage the fresh products in the store as best as possible so as to minimize their spoilage.

All the waste produced in the Agro-Rydzyna meat processing plant is handed over on the basis of “Waste Handover Sheets” to be neutralized or recovered to specialized businesses holding permits from the competent authorities to take receipt thereof. Records are kept on an ongoing basis of the waste produced. The plant selectively collects communal waste.

Agro-Rydzyna utilizes the following methods of preventing the production of waste or of limiting the quantity of waste and its adverse environmental impact.

- transport of products in reusable containers
- employee training on waste management
- optimization in the consumption of raw materials during the technological process
- handover of the largest quantities and types of waste for recovery
- maintenance of the machine fleet and means of transport in a technical state of good wear and tear,
- continuous modernization of the equipment and installation infrastructure – machinery and equipment.

7.4. Social impact

Dino Polska and the Dino Polska Group have an extensive social impact, in particular through the following: i) high level of employment – at the end of 2018 the Group had 16,530 employees; ii) the extensive Dino store network – at the end of 2018 the network numbered 977 stores located chiefly in small and medium cities; iii) product offering that consists of roughly 5 thousand products with emphasis placed on fresh products; iv) own meat processing plant that stocks all the Dino stores with fresh meat and cold cuts produced in-house.

There is a Dino Najbliżej Ciebie Foundation in Dino Group which has been established, among other purposes, to provide social assistance to those in need, especially to the sick and children. The Dino Najbliżej Ciebie Foundation operates on a voluntary basis. All its members work pro bono and do not receive any compensation for their involvement.

Products

Dino Polska sells food in its own Dino store network. Its product offering consisting of 5 thousand stock keeping units (SKUs) is constantly being adapted to consumer preferences. Using internal methods the Dino Group regularly monitors client satisfaction. Its marketing policy is mainly based on coherent, transparent and non-invasive communication with clients and is limited to the promotion of its products in in-store flyers and on billboards placed in front of most Dino stores.

Dino Polska attaches great attention to the fresh products category as these products accounted for 38% of the Dino Group’s revenue in 2018, nearly 1% more than a year ago. Consumers’ growing interest in healthy food constitutes a material potential for the Group’s ongoing business development. The fresh products category consisting in particular of fruit and vegetables, fresh meat and cold cuts and dairy and bread is constantly being developed with new items.

The products offered in the Dino stores, on top of fresh food are as follows: dry groceries, water, juices and beverages, alcohol, cigarettes (in total 50% of sales revenues) and non-grocery products (12%), consisting mainly of cleaning agents, sanitary articles and small household appliances, toys and newspapers. The clear majority of

products offered in the Dino network are branded products originating from Polish suppliers. The Dino Polska Group has also adopted a policy of closely cooperating with the producers of less recognizable brands to give clients a less expensive alternative to the leading domestic and global brands.

In 2018 private label products, just as in the previous year, represented only less than 2% of revenue (excluding Agro-Rydzyna's products). The Dino Group does not plan to develop private label products materially.

To ensure the highest standards of safety and quality of food, the Dino store network and the Agro-Rydzyna meat processing plant function on the basis of the HACCP quality management system (Hazard Analysis and Critical Control Point System), which is made up of a number of procedures and measures procuring the safety of the food produced and sold by the Dino Polska Group, in particular by identifying and estimating the scale of the hazards from the viewpoint of the health requirements for food, risk analysis and measures to eliminate and prevent hazards.

Meat and cold cuts produced by Agro-Rydzyna, the meat processing plant in the Dino Polska Group

Agro-Rydzyna runs a meat processing plant in the Dino Group that produces cold cuts and fresh meat. The main raw material processed by Agro-Rydzyna are pig half carcasses coming from Polish suppliers – mainly large entities with an entrenched market position guaranteeing the high quality of the products. All of Agro-Rydzyna's output is sold in the Dino store network. Additionally, Agro-Rydzyna is engaged with sourcing poultry meat from Polish suppliers that is subsequently sold in the Dino store network.

In 2018, the quality of the cold cuts produced by Agro-Rydzyna has been appreciated by the Greater Poland Association for Quality, the Quality Research and Monitoring Center, which has awarded this plant its Top Quality Certificate. Due to contemporary technologies, high quality of material and excellent recipes, some of the Agro-Rydzyna products (among other Szynka wykwinna ham), were awarded quality marks and "Top product" titles during the 27th food attestation by the Expert's Lodge of the "Show Your Appreciation for Polish Products" program. In one of the previous attestations, the Expert Lodge of the "Show Your Appreciation for Polish Products" program awarded the maximum number of points to Frankfurters and Wędzonka wyborna surowa smoked cut produced by Agro-Rydzyna. The program, supported by the Ministry of Agriculture and Rural Development, promotes top quality Polish products.

Agro-Rydzyna does not use mechanically separated meat (MSM) and palm oil in its products. It continues to improve the recipes for cold cuts and meat products to adapt them as much as possible to the expectations of the consumers in terms of taste and nutrition. Agro-Rydzyna actively cooperates in this respect with the suppliers of products used by the plant to produce cold cuts.

To procure the health safety of the food produced by Agro-Rydzyna in its plant, the HACCP quality management system is used (Hazard Analysis and Critical Control Point System) whose aim is to implement Good Hygienic Practice and Good Manufacturing Practice. The internal Quality Department watches over the safety and quality of the products produced by Agro-Rydzyna. It works on a three-shift system thereby facilitating full supervision over all processes and production areas. The Quality Department holds training for employees to discuss the quality and safety of food and health.

The Quality Department supervises the quality of the raw material supplied to the plant and the correctness of actions in accordance with the procedures and nutrition law regulations at every stage of the technological process, starting from the receipt of the raw material until the product is packaged. In warehouses, the finished product is inspected according to FIFO (first in, first out) thanks to which products with appropriate best before dates are correctly dispensed from the warehouse.

The plant is under constant (every day) control by veterinarians posted by the County Veterinary Inspectorate. Veterinarians check the correctness of actions in respect of the procedures prescribing the rules of conduct at every stage of the technological process of producing food. Documentation is inspected, as is the state of health in the space, and the health of the production processes is also checked. At least once a quarter there is a large-scale inspection of the plant conducted by the County Veterinary Inspector.

In 2018, Agro-Rydzyna launched a new meat partitioning plant equipped with the newest technology solutions that meet the high European standards allowing for high reproducibility of the partitioned cuts.

Agro-Rydzyna has modern equipment supporting the process of improving food quality and safety. The following equipment is counted among them: i) survey of the meat content of half carcasses to ensure standardization of meat at a given level; ii) measurement of the fat content to preserve the ability to produce the product on a recurring basis in production runs; iii) survey of the nutritional value. On top of internal analytical surveys of the chemical composition of products, samples of the products produced by Agro-Rydzyna are constantly being sent for microbiological tests conducted by external accredited laboratories.

Investments

For years Dino Polska has been pursuing a large-scale investment program whereby it contributes to accelerating economic growth and cutting unemployment in Poland. Dino Polska's investments chiefly include the construction of new stores and the distribution centers to support them logistically, as well as the expansion of the Agro-Rydzyna meat processing plant. In 2018, the Dino Polska Group's capital expenditures amounted to PLN 767 million. For comparison, in 2017 it was PLN 457 million.

The Dino Polska Group's investments to a large degree are realized in areas of Poland characterized by a lower degree of urbanization. According to the adopted strategy, Dino stores are located above all in small and medium communities. As a result of this investment policy, Dino Polska is becoming an important player on the local labor markets offering employment on the basis of an employment contract and significantly enhancing the local community's ability to find a job close to its place of residence. Moreover, for many clients the Dino stores are becoming stores of first choice where they can fully satisfy their needs to do their grocery shopping because of the wide product assortment and competitive prices. The rapidly growing Dino store network shortens the distance for many residents of Poland to a modern, organized grocery retail network enabling them to save time and save on the costs associated with traveling to more distant stores.

Dino's investments are not realized in valuable natural habitat areas. Having regard for the small area of the plots of land on which stores are built (they are generally in sites with a large intensity of footfall or automobile traffic) and having regard for the well-designed and standardized store format, Dino Polska's investments do not pose a threat to the natural environment, nor are they onerous to local residents. Frequently, Dino Polska's investments involve modernization or construction of local infrastructure that increases conveniences of the neighborhood, such as, for instance, sidewalks.

7.5. Respecting human rights

Dino Polska and its Subsidiaries conduct business by acting with respect for human dignity and totally rejecting acceptance for discrimination of employees, job candidates and clients on account of gender, age, origin, race, religion or denomination, sexual orientation, family status, state of health, convictions or any other reason. Dino Polska and Dino Polska Group companies oppose any and all forms of forced and slave labor. The Dino Group does not permit mobbing in any form or the use of vulgar or offensive names, using one's position in the company for obtaining personal benefits or to violate personality rights of other employees.

The anti-mobbing policy on whose basis the Company conducts an investigation every year in terms of the occurrence of mobbing should above all be counted among the internal regulations established to date by Dino Polska to procure respect for human rights. In addition, Dino Polska and Dino Polska Group companies have a mechanism for employees to lodge complaints and have them examined. The Dino Polska Group is engaged in an extensive program of hiring disabled persons who at the end of 2018 represented more than 6% of all the employees. Dino Polska implements initiatives that contribute to building good relations, mutual respect and understanding between persons employed in various positions and in various business areas of the Group. The issues pertaining to respecting human rights in reference to Group employees are described more extensively in the chapter entitled "**Employees**".

The Dino Polska Group collaborates with many suppliers from the FMCG industry. Above all, they are producers and their main representatives who are responsible for Poland. Considering the fact that most of the products

offered by the Dino stores are Polish products and considering the fact that the Dino Group collaborates chiefly with the following: i) well-known and reputable international concerns; ii) large Polish producers with high brand recognition; iii) Polish regional producers with lower brand recognition subject to Polish and European Union regulations, the risk of unethical phenomena violating human rights or labor standards in Dino Polska's supply chain is low.

7.6. Combating corruption

The employees of Dino Polska and the Dino Polska Group companies cannot engage in any deceitful or unfair activities that are illegal, including ones that pertain to Dino Polska and Group companies, its clients, suppliers, contractors, business partners or other persons with whom the Group has established contacts or with whom it conducts commercial activity. The violation of the foregoing rule constitutes grounds for disciplinary action, including dismissal, and in special cases, it may also constitute grounds for prosecution under criminal liability.

Dino Polska is of the opinion that the methods for identifying the areas of operations at risk of corruption and bribery devised to date by the Dino Polska Group and the mechanisms for preventing them effectively curtail the risk of their occurrence. In the operation to date of Dino Polska and the Dino Group, there have been no cases of corruption or bribery that would put the organization's reputation, or its brand, in jeopardy.

7.7. Risks

Demanding situation on the labor market may unfavorably affect the Dino Group's operations

The Dino Group operates in a sector characterized by relatively high employee turnover. In the face of the declining level of unemployment in Poland, which is accompanied by a high level of competition for store employees between entities operating in the retail trade sector, the Group may not be able to secure new employees having sufficient experience and qualifications. This may also lead to additional pressure on higher costs of compensation.

The occurrence of the aforementioned circumstances may have an adverse impact on the quality of client service and Dino Group's business. The Dino Group strives to counteract such a risk chiefly by constantly monitoring the labor market situation and analyzing its competitiveness in this area. The HR department and the departments responsible for training and development are being strengthened, inter alia by hiring additional employees.

Loss of the Dino Polska Group's key employees or the inability to hire a sufficient number of qualified employees may exert an adverse impact on the Dino Polska Group's operations and its development in the future.

One of the key factors driving the Dino Polska Group's business development in the future, especially its ongoing growth, geographic expansion and the execution of its strategy is having the appropriate number of qualified and committed employees. Many people acting in managerial functions in the Dino Polska Group have many years of work experience in the Dino Polska Group and in the retail grocery market. There is a risk that in connection with its development the Dino Polska Group will not manage to retain key employees, source key personnel to fill vacancies or staff newly-created positions with employees holding the appropriate qualifications and experience and may be compelled to incur considerable costs to hire and train them. In particular, the Dino Polska Group may not be able to ensure that in connection with the planned continuation of the organic growth in the number of stores it will be able to obtain a sufficient number of qualified people to work in the expansion department that is responsible for looking for the most suitable locations for the Dino Polska Group's future stores. Moreover, the Dino Polska Group cannot rule out that its competitors or other entities operating on the retail grocery market will offer prospective employees better conditions of employment or that in certain areas of Poland prospective employees will not be interested in taking employment in the Dino Polska Group, inter alia, on account of the social support they receive from the state. Staff shortages and the loss of key employees may unfavorably affect the Dino Polska Group's further business development.

In addition, there are risks related to the dependence of the Dino Polska Group on persons acting in key functions, especially at the level of the Management Board and in development, distribution and finance. The Dino Polska Group's key employees may tender their resignation at any time. These resignations may considerably affect the

Group's ability to continue developing and execute its strategy. The loss of managers or employees discharging key functions may lead to the loss of know-how or, in certain circumstances, the acquisition of know-how by the competition.

The occurrence of one or several of the above risk factors may have a material adverse effect on the Dino Polska Group's activities, financial standing and results, as well as on its share price.

Risk of claims being lodged against the Dino Group on account of work accidents

As at the Report Date, none of the Dino Group Companies is a party to material proceedings involving work accidents, which does not rule out this risk in the future. The occurrence of work accidents, including fatal accidents may put the Dino Group in jeopardy of claims from employees or other eligible parties, which may exert an adverse impact on its capacity to source new employees, activities, financial standing, results or prospects, and its share price

The production of fresh meat and processed meat products coming from a single supplier may be disrupted

Agro-Rydzyna produces products from fresh meat while Dino Polska sells food products and accordingly they are subject to many regulations pertaining to health protection and sanitary regulations that are applicable to the production of food. Giving consideration to the complexity of the food production process, there is a risk that Agro-Rydzyna in particular may fail to meet all the sanitary requirements and procedures, including the ones pertaining to health and safety, and also monitoring and conducting laboratory analyses of the quality of raw materials and finished products. If the meat processing plant run by Agro-Rydzyna fails to meet the qualitative requirements and the ones pertaining to health protection and the sanitary requirements ensuing from the relative regulations, the production of goods using fresh meat may be curtailed or even interrupted.

The occurrence of the aforementioned circumstances may have an adverse impact on Dino Polska's brand and reputation, and as a consequence, on the Company's financial standing, results or prospects and share price. The Group counteracts this risk by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Client complaints, product liability claims, procedures for retracting products from sale, OSH issues, negative advertisement, litigation or other factors may lead to a decline in the value of the Dino brand

The Dino Group's success is partially dependent on brand recognition and the company's value related to it, while Dino's brand and trademarks constitute key assets in the Dino Group's operations. Preparing, packing, transporting, storing and selling perishables and products other than groceries carry the risk of product contamination or poisoning, quality deterioration or defects that may potentially lead to retracting products from sale, claims for damages or negative advertisement, and may also entail costs ensuing from the foregoing events. Food and non-food products may contain substances that in certain cases may induce disease, bodily injury or death. The sale (or allegations concerning an alleged sale) of contaminated products, of lower quality or defective products may lead to product liability claims or the retraction of products from sale. The risk of product liability claims or obligations to retract a product from sale are particularly material in the context of the sales conducted by the Dino Group of fresh food products.

All client complaints, product liability claims, cases of retracting products from sale, OSH issues, negative advertisement, litigation or other factors reducing the value of the Dino brand may lead to damage to its reputation and unfavorably affect the Dino Group's activities, financial standing and results.

In addition, the Dino Group, as a producer of food, is obligated to adhere to specific requirements ensuing from prevailing regulations, while its activities and the products it produces are subject to supervision and inspection by many public supervision authorities, in particular, in terms of adhering to the rules pertaining to the procedures for producing food to ensure that food products are safe for consumers.

The occurrence of any of the above risk factors may have a material adverse effect on the Dino Group's reputation, activities, financial standing and results. The Dino Group counteracts the foregoing risks by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Changes to legal regulations, among others, pertaining to the production of food, fire protection and safety, employment law and environmental protection regulations and insufficient efforts in these areas may adversely affect the Dino Group.

The activities of the Dino Polska Group are subject to various regulations in Poland (among others in respect to food production, fire and safety regulations, provisions of labor law and environmental law) These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations. In addition, actions are increasingly more frequently expected to be taken by entities conducting business in the foregoing areas transcending legal requirements.

Since there is no clarity as to future regulations, in the future the Dino Polska Group may be obligated to incur significant costs or capital expenditures to adapt the existing installations of the stores, distribution centers or the meat processing plant operated by Agro-Rydzyna to meet the new requirements or social expectations. Otherwise, it may be the subject of more rigorous inspections leading to financial penalties, its brand may be in jeopardy, which may adversely affect the Dino Polska Group's activities, financial standing, growth prospects and results and the market price of its Shares. The Dino Polska Group prevents these risks by submitting to internal procedures and legal regulations and by monitoring its environmental impact and by pursuing environmentally-friendly projects.

8. REPRESENTATIONS OF THE DINO POLSKA MANAGEMENT BOARD AND SUPERVISORY BOARD

Representation of the Dino Polska Management Board on selecting an audit firm and on the selection procedure

Based on the representation of the Supervisory Board, the Management Board of Dino Polska S.A. hereby reports that:

- the audit firm auditing the Financial Statements of Dino Polska for the year ended 31 December 2018 and the Consolidated Financial Statements of the Dino Polska S.A. Group for the year ended 31 December 2018 was selected in accordance with the legal regulations, including those related to the selection and selection procedure of an audit firm,
- the audit firm and members of the audit team met the conditions for drafting an impartial and independent audit report of the annual financial statements pursuant to effective provisions of law, professional standards and professional ethics principles,
- Dino Polska S.A. complies with the applicable regulations related to rotating the audit company and key statutory auditor and mandatory cooling off periods,
- Dino Polska S.A. has a policy concerning audit company selection and provision of additional non-audit services to the issuer by the audit company, an affiliate of the audit company or a member of its network, including services conditionally exempted from the prohibition of being provided by an audit company.

Representations of the Dino Polska Supervisory Board on the functioning of the Audit Committee

The Supervisory Board of Dino Polska S.A. (“Company”), acting pursuant to § 70 Section 1 Item 8 and § 71 Section 1 Item 8 of the Finance Minister’s Regulation of 29 March 2018 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent (Journal of Laws of 2018, Item 757) in connection with Article 60 Section 2 of the Act of 29 July 2005 on Public Offering and the Terms and Conditions for Introducing Financial Instruments to an Organized Trading System and on Public Companies (Journal of Laws of 2016, Item 1639, as amended), hereby represents that:

- Dino Polska S.A. and its statutory bodies observe the provisions on establishing, composition and dealings of the audit committee, including the fulfilment of independence criteria by its members and requirements concerning knowledge and skills related to the industry in which the issuer operates, as well as to accounting or auditing of financial statements,
- the audit committee performed and performs the tasks of the audit committee prescribed by the applicable laws.

Evaluation of the Dino Polska Supervisory Board concerning the financial statements and the activity report in terms of compliance with the ledgers, documents and the facts.

The Supervisory Board of Dino Polska, acting pursuant to art. 382 § 3 of the Commercial Company Code, § 17 Section 1 Item 2 of the Company's Articles of Association and in conjunction with § 70 Section 1 Item 14 and § 71 Section 1 Item 12 of the Finance Minister's Regulation of 29 March 2018 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent, having familiarized itself with the data and information within the scope of the Financial Statements and the Consolidated financial statements of Dino Polska S.A. for the year ended 31 December 2018 and the Management Board Report on the activity of the Company and the Dino Polska S.A. Group for 2018, it declares that they are consistent with the ledgers, documents and facts.

The Supervisory Board performed its assessment in particular based on: i) information provided to the Audit Committee of the Company by the audit firm, Ernst & Young Audyt Polska sp. z o.o. sp. k. auditing the financial statements, ii) information and data provided to the Supervisory Board by the Company's Management Board, iii) information provided to the Supervisory Board by the Audit Committee following the performance of tasks prescribed by the law and by internal regulations by the Audit Committee. The Supervisory Board decided that the correctness of preparation of the financial statements and the management board activity report for 2018 raises no objections.

**Representation of the Dino Polska Management Board on accuracy and compliance of the
financial statements with the law**

According to its best knowledge, the Dino Polska S.A. Management Board (“Company”) represents that:

- The Financial Statements of Dino Polska S.A. for the year ended 31 December 2018 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of Dino Polska S.A. and its financial result,
- The Consolidated Financial Statements of the Dino Polska S.A. Group for the year ended 31 December 2018 have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the Dino Polska S.A. Group and its financial result,
- The Management Board’s Report on the Activity of the Company and the Dino Polska S.A. Group in 2018 contains a true picture of the development, accomplishments and situation of the Company and Group, including the description of the fundamental threats and risks.

Szymon Piduch

Michał Krauze

President of the Management Board

Management Board Member

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Szymon Piduch – President of the Management Board

Michał Krauze – Management Board Member

Krotoszyn, 14 March 2019